London Borough of Hounslow

Contains Confidential or Exempt Information	***N***
Cabinet Key Decision	***Y***

Report Title	Budget 2026/27
Member Reporting	Councillor Shantanu Rajawat Leader of the Council and Cabinet Member for Strategy, Resources and External Affairs
Contact Details	Jake Bacchus Executive Director of Finance and Resources jake.bacchus@hounslow.gov.uk
For Consideration By	Cabinet
Date to be Considered	Tuesday 10 February 2026
Implementation Date if Not Called In	To be recommended to Borough Council for approval on Tuesday 3 March 2026
Affected Wards	All Wards
Approved By	Jake Bacchus

1. Details of Recommendations

The Cabinet is asked to agree the following for recommendation to Borough Council for approval:

Council Tax

1. Agree the Council Tax resolution for 2026/27 attached at Appendix A.

2. Agree the Council Tax requirement arising from Cabinet's proposed budget for 2026/27 of £158.437 million as per Appendix B.

3. Note that the Greater London Council element of Council Tax for a Band D will be £510.51, an annual increase of £20.13.

Revenue Budget

4. Agree the savings for 2026/27 and 2027/28 as set out in Appendix C.

5. Agree the fees and charges schedule in Appendix D.

6. Note that the Housing Revenue Account (HRA) Business Plan 2026/27 informs the HRA budget, and to agree the HRA budget for 2026/27 financial year as detailed in paragraphs 9.1 to 9.9 of the report.

7. Note the Dedicated Schools Grant allocations as set out in Section 7 of this report and the resultant impact on individual schools' budget.

8. Delegate to the Executive Director of Finance and Resources, the responsibility to make any technical adjustments to the budget as required.

9. To delegate the allocation of inflation to service budgets and the re-basing of corporate contingencies to service budgets within the revenue budget for 2026/27 to the Executive Director of Finance and Resources as detailed in Table 3 of this report.

Reserves

10. Note the Council's forecast reserves position as at the end of 2025/26 financial year.

11. Agree the Council's Reserves Strategy as set out at Paragraphs 6.47 to 6.57.

12. Note the Executive Director of Finance and Resources review of General Fund balances required for 2026/27 as set out at paragraph 7.50 and in Appendix H.

13. Note the Executive Director of Finance and Resources delegated powers to approve the use of any reserves to support the Council's budget, as per the Reserves Strategy.

Capital and Treasury Management

14. The capital programme for 2026/27 to 2029/30 as detailed in paragraphs 10.1 to 10.11 of the report and in Appendix E.

15. The Capital Strategy as set out in Appendix F.

16. The Treasury Management Strategy 2026/27, Annual Investment Strategy, Statement on Minimum Revenue Provision and Prudential and Treasury Indicators and Approved Countries for Investment as detailed in paragraphs 12.1 to 12.5 of the report and in Appendix G.

17. Agree the Council's intention to use the Government's Flexible Use of Capital Receipts policy to deliver transformation savings that supports the One Hounslow Financial Strategy.

18. That the Executive Director of Finance and Resources be authorised to undertake the operational activity required to manage cashflows including:

i. authority during 2026/27 to make amendments to borrowing and investment limits provided they are consistent with the strategy and there is no change to the authorised limit for borrowing;
ii. authority to borrow as per the approved borrowing requirements set out in the Prudential and Treasury Indicators;
iii. authority to invest with institutions that meet the creditworthiness criteria within the Annual Investment Strategy;
iv. to make amendments to existing or put in place additional lending facilities to support the activities of Lampton Group the Council's wholly owned subsidiaries.

Other

19. Note the Executive Director of Finance and Resource's (Chief Finance Officer) Section 25 report, commenting on the adequacy of reserves and the robustness of the estimates underpinning the budget at Appendix I.

20. Agree to delegate authority to the Executive Director of Finance and Resource's in consultation with the Leader to recognise budget and agree procurement activity to allow enable mobilisation of support using the Crisis and Resilience Fund Grant as described in paragraph 6.32.

2. Report Summary

1. This report sets out Cabinet's recommendations to Council in respect of the General Fund revenue budget for 2026/27 and the resulting level of Council Tax, along with the recommended Housing Revenue Account (HRA) budget for 2026/27, the capital programme for 2026/27 to 2029/30, the updated Capital Strategy, fees and charges, the Treasury Management Annual Strategy, Annual Investment Strategy, Statement on Minimum Revenue Provision and Prudential and Treasury Indicators.

2. The General Fund budget recommendations result in a Council Tax Requirement of £158.437 million, leading to a Band D Council Tax of £1,675.05, an increase of 4.99%. The 2026/27 increase in the Council Tax is in two parts, firstly an Adult Social Care precept increase of 2%, and secondly a general increase in Council Tax of 2.99%.

3. This report also outlines how the One Hounslow Financial Strategy ('OHFS') provides a framework for how the financial resources that the council has supports Hounslow's Ambitious for Hounslow corporate objectives and delivery plan.

4. Following the July 2025 update to Cabinet, where a 2026/27 budget gap of £54.4m was identified, the Council has identified and proposed to Council a savings programme of £26.1m. These savings were taken to Overview and Scrutiny Report on 26 January 2026.

5. Additionally, the Ministry of Housing, Communities and Local Government announced the following changes to Local Government funding:

    - Fair Funding Review 2.0 which has delivered an additional £21.3m over the July 2025 OHFS estimates (for the 2026/27 budget)
    - A full business rates reset which resets the Council's Business Rates Baseline with a renewed government expectation on how much the Council will collect in Rates per annum.

6. Finally, this report outlines the medium-term risks and opportunities with regard to the current budget assumptions contained within the OHFS. These primarily relate to exceptional factors such as high levels of inflation, fluctuating interest rates and increased demand for key services. In doing so, it must be recognised that the macro-economic financial environment remains uncertain, and it is difficult to make a full, definitive and comprehensive assessment of the ongoing financial impact of these issues.

3. Background and links to Corporate Priorities

Fairness, responsibility and ambition – a foreword from the Leader

3.1. A lot has changed over the last decade but one thing that has remained consistent is our drive to deliver the best, most reliable public services possible, to protect the most vulnerable, and to unleash our borough's huge potential.

3.2. In very simple terms most of the Council's funding comes from central government and that funding has reduced from £123 million in 2010/11 to a low of £58 million by 2020/21. It is only in recent years, and with this year's Fair Funding Review, that Hounslow's grant funding is beginning to reflect the needs profile of its residents. Even with the Fair Funding changes, Hounslow's per capita funding will remain £50 per person below than pre-austerity measures.

3.3. Despite the financial challenges, we have responded by protecting public services, supporting the most vulnerable and investing in the future of our borough. Measures include innovating and investing in our libraries; a five-year partnership providing £1.6 million for the Citizen's Advice Bureau which has so far helped residents access £11 million in support; and rolling out community hubs for local people to get support where and when they need it.

Rising to the Challenge

3.4. We are in a stronger position than most because we have successfully faced down three major challenges: austerity, inflation and rising demand.

3.5. **Austerity**: Local Government was cut more than almost any other part of the public sector. As a Council, we became as efficient as possible. Since 2010 the Council has delivered more than £100 million of savings and efficiencies; all the while continuing to deliver high-quality services.

3.6. **Inflation**: Every 1% inflation adds an extra £4 million in costs for the Council. At the inflation peak of 11%, far outstripping government grant levels; the Council had to absorb the difference.

3.7. **Rising demand**: Our borough is growing, ageing, and remains far too unequal. The recent index of multiple deprivation measures Hounslow as more deprived than 83% of local authority areas in England. More people are turning to the Council for support. Adult social care, for example, makes up around half our spend, with more than 7,000 requests for support each year, alongside around 400 children we look after who need support.

3.8. We've risen to these challenges by providing the best possible value for money, prioritising frontline services, and investing to help reduce demand.

3.9. One example of this is in housing. While London councils spend nearly £6 million a day on Temporary Accommodation, with one in 21 children growing up without a permanent home, Hounslow has some of the lowest Temporary Accommodation numbers in London. That is because we have invested in

homelessness prevention. Working with the Lampton Group, we have built good quality homes, and we have one of the highest completion rates for social and affordable housing in London.

3.10. That has always been our approach - investing in people, investing in services, investing in the borough. Taking a prevention and proactive approach, investing in public services and supporting the most vulnerable has strengthened our financial position, not weakened it.

A turning point

3.11. In December 2025 the Government announced the results of its current Fair Funding Review which aims to match the level of local funding to the level of local deprivation.

3.12. In previous years the Government's austerity programme affected Hounslow such that the level of need far outstripped the funding, despite the efficiency measures introduced by the Council.

3.13. Regardless, ambition and robust management means we have a strong record of delivery. Our roads are some of the best in London; and our schools are consistently rated 'Good' or 'Outstanding'. Just last year, our Housing Service received the second highest rating from the independent regulator, and the work of our Health Outreach Team in tackling health inequalities was nominated for an award. By most metrics, Hounslow punches well above its weight. But we shouldn't have had to. This announcement just helps to level the playing field.

3.14. Fair Funding is no silver bullet. Our finances are in better shape than most other London Boroughs because of a relentless focus on financial sustainability, innovation, driving efficiency, prioritising frontline services and protecting our reserves for only the rainiest of rainy days. However, we still face high costs and rising demand.

3.15. That is why we are proposing a 4.99% increase in the Council's element of Council Tax; that is 2% towards supporting our residents in need of adult social care, and another 2.99% for wider council expenditure. This will mean the average household paying an extra £1.53 a week from April.

3.16. We know that the last few years have been tough. But in tough times, people need properly functioning public services. If any resident thinks they might be eligible for Council Tax Support or any other kind of help, then help is out there.

Backing Our Ambition

3.17. Responsibility has provided the foundation, but ambition and innovation will bring new opportunities to life. As always, our guiding star is creating a fairer, more equal borough where support is targeted at those who need it most. This budget invests in people, services and in our borough's bright future. Here are some examples of how we are doing that:

3.18. Investing in People

- Investing £4.3 million in support for families through our Family First Programme and Family Hubs.

- Continuing investment for all residents through Community Hubs, improving access to services for residents when they need it. Hounslow Care Together brings together team from the Council, NHS and voluntary sector to deliver personalised care, closer to home.

- Investing to build extra care housing – Nene Gardens in Hanworth will deliver 50 properties for adults aged over 55, enabling them to remain in the borough and close to family and other community networks.

- Delivering £11 million in residential and short-term children's accommodation. Both children's homes will enable twelve young people to remain in the borough, and one of the homes will cater specifically to children with disabilities. The six-bedroom short-breaks new-build will ensure the provision of Hounslow's outstanding respite service continues in a modern and fit-for-purpose facility.

- Support for Care Leavers – we have extended Council Tax support from 21 years-old to until their 25th birthday.

- Investing £250,000 to break down barriers with young people and provide discounts and offers on leisure and well-being.

- Investing £200,000 to strengthen our communities, creating community capacity to reduce demand on statutory services and build stronger neighbourhoods.

- Investing in Special Educational Needs places and support, such as the Preparation for Adulthood programme (£1.5 million).

3.19. Investing in services that matter

- Investing over £3 million in the borough's parks and open spaces, including improvements to Hounslow Heath, Hanworth Air Park and Lampton Park. We are investing in the recovery of the borough's natural habitats, wildflower creation and pond restoration.

- Investing a further £750,000 to clean up our streets and open spaces, ensuring everyone has pride in where they live.

- Delivering £32 million in housing estate improvements over 2026/27 – and £150 million by 2030 – making social homes better.

- Working with Hounslow Highways to deliver an additional 22 footway renewal schemes, through our £2 million Pavement Pledge investment.

3.20. Investing in the future of the borough

- New homes - allocate more than £125 million from our Housing Revenue Account to create more social homes for local people.

- Continuing to add even more social housing across the borough, building on the 1,500 homes already delivered since 2016.

- Pride in Place - investing £1.5 million in town centre and community regeneration projects that instil community pride and strengthen cohesion.

- Approving £4 million to support the delivery of a new leisure centre in Brentford.

- Investing more than £4 million to unlock growth across the region including:

    - Using public land in Feltham for housing and to create jobs for local residents.
    - Developing plans on for the new West London Orbital railway, linking Hounslow to HS2, the Elizabeth Line, Hendon and West Hampstead.
    - Creating a tech and creative district as part of London's Golden Mile.

3.21. What remains clear for the Council is that we have a strong financial track record - even in this tough economic climate we will invest in what matters for our communities. We will continue to invest wisely, protecting people and vital services, while also targeting funding which helps maximise the borough's potential. We are a Council that delivers and gets things done. We want to do even more, that is why this is a budget for the future.

4. Proposal and Rationale

4.1. The Council is legally obliged to set a balanced budget each year, which must balance service expenditure against available resources. For effective financial management the council should also pull together a financial forward-looking strategy and plan and update its projections regularly to ensure that it is well placed to understand and address any future challenges.

4.2. Within the budget and medium-term position, provision is made for the Council to manage risks but also to direct investment towards its corporate priorities to create a more equitable and thriving borough. This investment is directed

towards the priorities outlined in the Council's Ambitious for Hounslow's corporate plan.

4.3. 'Ambitious for Hounslow' is the Council's key corporate strategy. It sets out the Council's vision for the borough and, taken together with its Delivery Plan and Financial Strategy, explains how the Council will deliver and fund that ambition.

4.4. The report contains Cabinet's recommendations to Borough Council in respect of the council's budgets and the resulting level of Council Tax for 2026/27, having considered options available through a robust budget setting process and the outcomes from the governments provisional local government settlement that was published in December.

4.5. Also included is the Council's capital strategy, outlining the borough investment plan between 2026/27 and 2035/36 and how that expenditure will be financed.

4.6. The 2026/27 budget marks a turning point for the authority in which the Fair Funding Review 2.0 recognises the increased level of need in the borough that the Council has had to support with its own diligently saved resources over the last decade. The corrected funding levels give the Council certainty through a three-year funding package which sees CSP to 2028/29 increase by 37.2% above 2025/26 funding levels and 52.2% above 2024/25 levels. The increases in CSP include the government assumption that authorities take the maximum Council Tax increase for each year of the three-year settlement period.

4.7. The Council understood the extremely challenging budget gap outlined in the One Hounslow Financial Strategy Update July 2025 Cabinet paper. To meet that challenge, a refreshed savings and efficiency identification programme was set up involving all senior officers to identify and assure delivery of a wide range of savings and income generating proposals. This effort has identified £26.1m of savings proposals for delivery in 2026/27. These proposals were presented to Overview and Scrutiny Committee on 26 January 2026.

4.8. The combined outcome of Fair Funding, the 2026/27 savings programme and the Council Tax increase means that the Council has been able to set a balanced budget for next year, that recognises the level of increased demand from our most vulnerable residents and delivers on the Council's priorities.

5. Financial Context

Macro-Economic Outlook

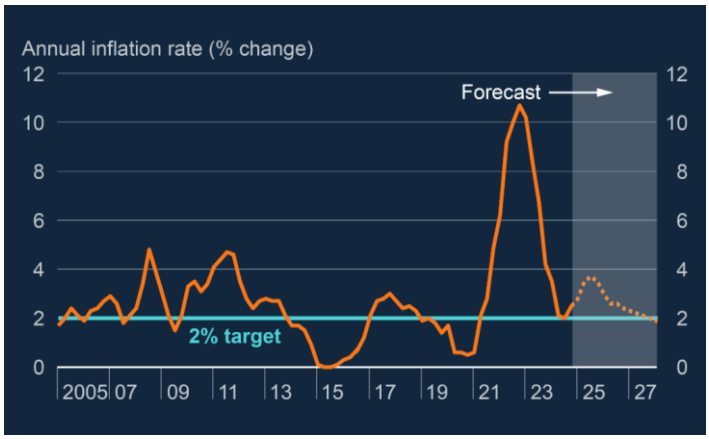
5.1. At the time of writing the Consumer Price Index (CPI), which is the rate of inflation that drives the majority of annual cost rises, sits at 3.4% (December 2025), . This is 1.4% above the Bank of England's 2% target rate. At the point of setting the 2025/26 budget CPI was 2.8%.

5.2. Inflation continues to follow a bumpy path with the Bank of England forecasting inflation to increase temporarily before falling back to its 2% target around 2027. But the economy may not evolve as expected and remains exposed to the impact of global shocks. For example, global trade tariffs or developments in the Middle East could impact prices in some parts of the economy.

5.3. Since the end of the Covid pandemic, inflation has presented the biggest financial challenge to the Council's finances, with the spike in inflation correlating to the Council's use of reserves to balance the budget. Costs increase by c£4m for every 1% increase above the Bank of England's 2% target.

5.4. The Council's primary source of borrowing to support its capital programme is the Public Works Loans Board (PWLB) and it has 10-year borrowing rate of 4.5% on average according to current forecasts. Any fluctuations will impact on the Council's capital programme and HRA business plan. Alternative funding options (such as capital receipts or CIL) are being considered to maintain the ambition of the capital programme without putting further pressure on the revenue budget from borrowing repayments.

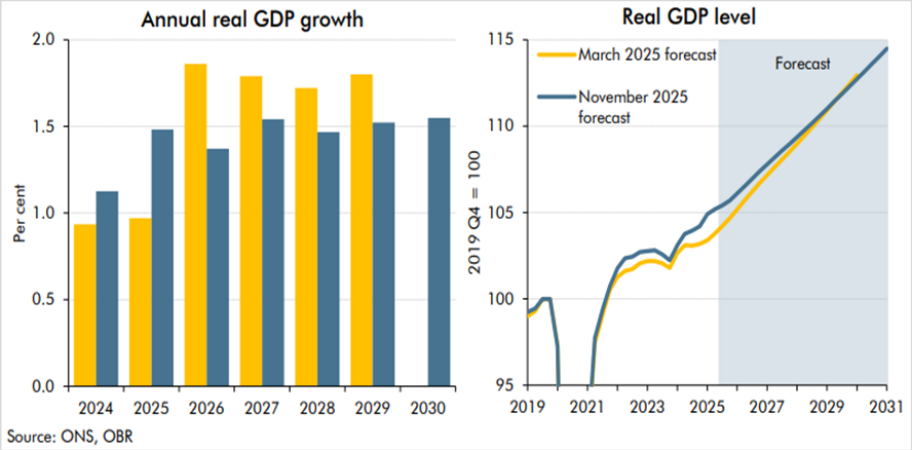
5.5. The chart below sets out the Bank of England's inflation forecast over the medium-term:



5.6. The most recent Bank of England monetary policy summary (December 2025) narrowly voted to reduce interest rates by 0.25 percentage points to 3.75%. This modest reduction reflects evidence of continued subdued economic growth forecasts over the medium-term.

5.7. The national economic backdrop remains uncertain. Gross Domestic Product (GDP) growth looks set to stay modest throughout 2026, with quarterly performance sensitive to interest rates, household spending, and business investment as indicated by the latest central forecasts from the Office for Budget Responsibility. These were published in November 2025 alongside the budget and forecast real GDP to grow by an average of 1½ per cent per year over the next five years.

5.8. The OBR highlighted a deterioration in forecasts between March and November 2025, with stronger growth expected this year, and somewhat weaker growth in later years. The jobs market continues to cool from the post pandemic peak, with vacancies easing and pay growth slowing, although employment remains comparatively resilient.



[1]

5.9. There are implications for the Council of this uncertain macroeconomic backdrop. It influences demand pressures in key services, the pace of inflation on contract costs, and the risk profile on income lines such as fees and charges, parking, and commercial rents. It also reinforces the need for prudent assumptions and contingency within the medium-term financial strategy, given the risk of weaker growth driving higher service demand and slower income recovery.

Autumn Budget

5.10. The Chancellor of the Exchequer, Rachel Reeves MP, delivered 'Budget 2025' on 26 November 2025. Her announcement outlined a set of measures aimed at strengthening Britain's economic foundations and responding to a revised-down productivity forecast from the Office for Budget Responsibility (OBR). The key headlines announced were as follows:

- Council tax: Government is introducing a High Value Council Tax Surcharge on owners of properties valued above £2m (based on to-be-updated valuations). Government will retain the revenue and compensate local authorities on the cost of collecting it through the existing council tax

[1] Economic and fiscal outlook – November 2025 - Office for Budget Responsibility

system. A Government consultation will launch in 2026 (the timing of which is yet to be confirmed).

- DLR extension to Thamesmead: Confirmed, primarily funded from TfL and GLA borrowing, although the government will contribute to long term costs. Government is open to 'innovative financing' options to support infrastructure delivery in the capital. While West London Orbital was not mentioned in the November Budget, the GLA has announced funding towards its development with trains possibly running by the early 2030s.

- Overnight accommodation/visitor levy: Mayors will have the option to introduce a visitor levy on overnight visitor accommodation. The related Government consultation (closing 18 February 2026) asks if and how local authorities should share in the revenue collected. How or if this is distributed to local authorities remains to be determined.

- Business rates: Several changes announced including two new multipliers – funded by higher value (£500k+) properties.

- SEND deficits: The government states it would not expect local authorities to need to fund SEND costs from general fund budgets beyond 2027/28. The government will set out details on its plan to address SEND deficits through the upcoming Local Government Finance Settlement. At present, the only guidance pertaining to reform consists of high-level principles from the Minister for Education. Although Hounslow remains on track to meet its Safety Valve milestones and reduce the deficit, the absence of further clarification - coupled with the existing arrangements being prescribed by primary legislation - means that this area continues to represent a material financial risk.

- Value for money: The Chief Secretary to the Treasury will lead a government-wide value-for-money review which will include homelessness services.

- Rent convergence: At the end of January 2026, the government issued its final guidance for how social rent convergence will be implemented from April 2027 (a year later than 2026/27, as previously anticipated). Rent convergence is a critical tool for growing HRA revenue and enabling Hounslow to deliver new homes via its HRA business plan.

- Integrated settlement: The government confirmed at least £13bn from 2026/27 to 2029/30 for seven Mayoral Strategic Authorities, including the GLA – although specific details are yet to be announced.

- Exceptional Financial Support: The OBR forecast notes that increased use of EFS represents a wider risk to the local authority spending and borrowing forecast with EFS increasing in cost from £0.1bn in 2017-18 to £1.3bn in 2025/26. The Council will not need to make use of this mechanism in 2026/27 and is unlikely to need it over the medium-term.

- Place-based budget pilots: The government is trialling place-based budgets in five Mayoral Strategic Authorities to test how the pooling of public service budgets in local areas could break down siloes, unlock more funding for prevention, and help deliver better outcomes for taxpayers.

- NHS Neighbourhood Health Centres: 250 new centres will be built across England to improve primary and preventative care in local communities by co-locating local health services.

- Two-child benefit cap: The government is removing the two-child limit on the Universal Credit (UC) child element from April 2026.

- School Rebuilding Programme: Almost £20bn committed between 2025-26 and 2034-35. This will fund upgrades and new school buildings across England.

Provisional Local Government Finance Settlement (PLGFS) and Fair Funding Review 2.0

5.11. On 17 December 2025, MHCLG published its Provisional Local Government Finance Settlement (PLGFS) for 2026/27 to 2028/29, marking the first time in a decade that a multi-year settlement has been announced, giving local authorities much more certainty over their medium-term financial strategies. There remains an annual update in the latter two years of this settlement, but any changes (should changes be made) will be upwards with this settlement representing the minimum level of funding.

5.12. The PLGFS is underpinned by the Government's Fair Funding Review 2.0 (FFR2.0) which marks the first time funding within the sector has been redistributed since 2013/14. The government has been clear about its policy of using FFR2.0 to improve the correlation between funding and deprivation. By 2028, MHCLG's policy states that the funding system will be fairer and simpler:

- Funding will be aligned with need and deprivation
- Funding will be based on robust evidence and up to date data; and
- Local authorities will have greater flexibility and certainty over almost £47 billion of their income, over the Settlement period and beyond.

5.13. Added to that, there will be a full business rates baseline reset (for the first time since the Business Rates Retention Scheme was introduced in 2013/14), major changes to all the Relative Needs Formulas (RNFs) and the simplification of many grants into either Settlement Funding Assessments (SFA) or into one of four Consolidated Grants.

<u>Core Spending Power (CSP)</u>

5.14. CSP is the Government's measure of the core components of local government funding, including the Fair Funding Assessment, assumed income

from council tax (including the adult social care precept), and a small number of individually identifiable grants.

5.15. The building blocks of how CSP is calculated remain the same since the last funding review in 2013/14, in that it is built up from grant funding (now updated using Fair Funding data points) and a MHCLG assumption of full Council Tax uplift (with the decision to uplift being taken at local level), plus some smaller ring-fenced and consolidated grants. How Hounslow compares to the London average is outlined below:

- CSP will increase by 15.1% across England and 16.2% for London boroughs by 2028/29 compared to the baseline year of 2025/26. In Hounslow, CSP will increase by 37.2%.

- Over that same period, the non-council tax portion of CSP will increase by 7.9% across England and 9.2% for London boroughs. In Hounslow, the non-council tax portion of grant will increase by 52.1%.

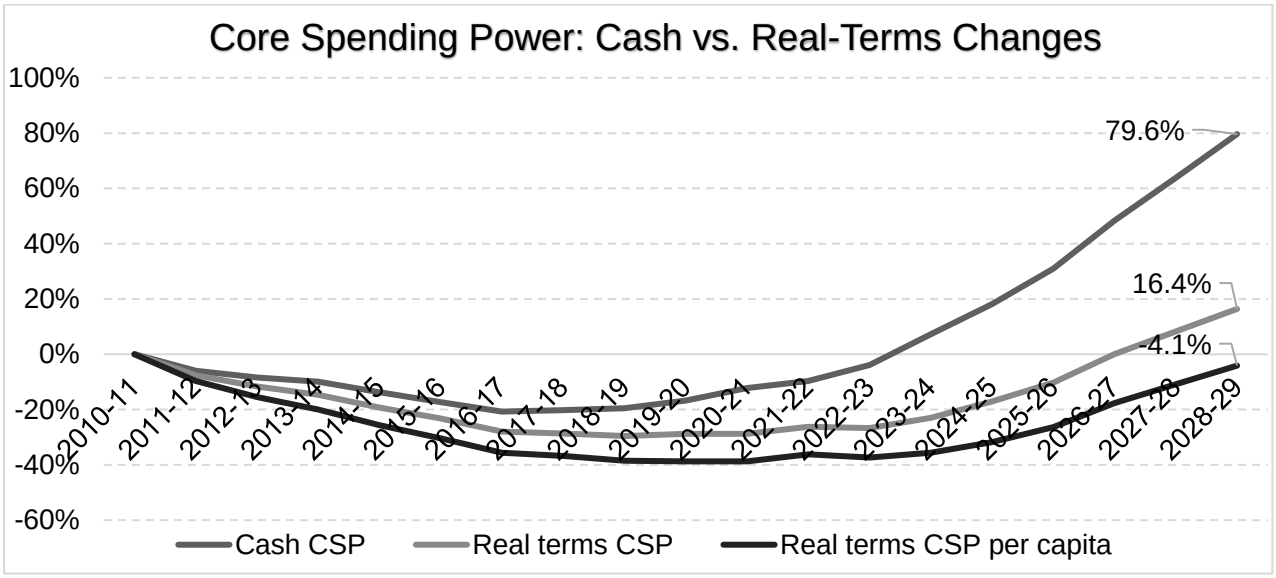
- The Fair Funding element of the settlement is in response to the Government consultation over the summer. The PLGFS sets out how the government proposes to implement and transition the changes over the three-years to 2028/29.

5.16. Councils will move towards their new fair funding shares in approximate thirds over the three years to 2028/29. Hounslow's CSP over the next three years is outlined in Table 1 below. This shows the increase in CSP by 2028/29 of 37.2% compared to 2025/26 levels, as noted above.

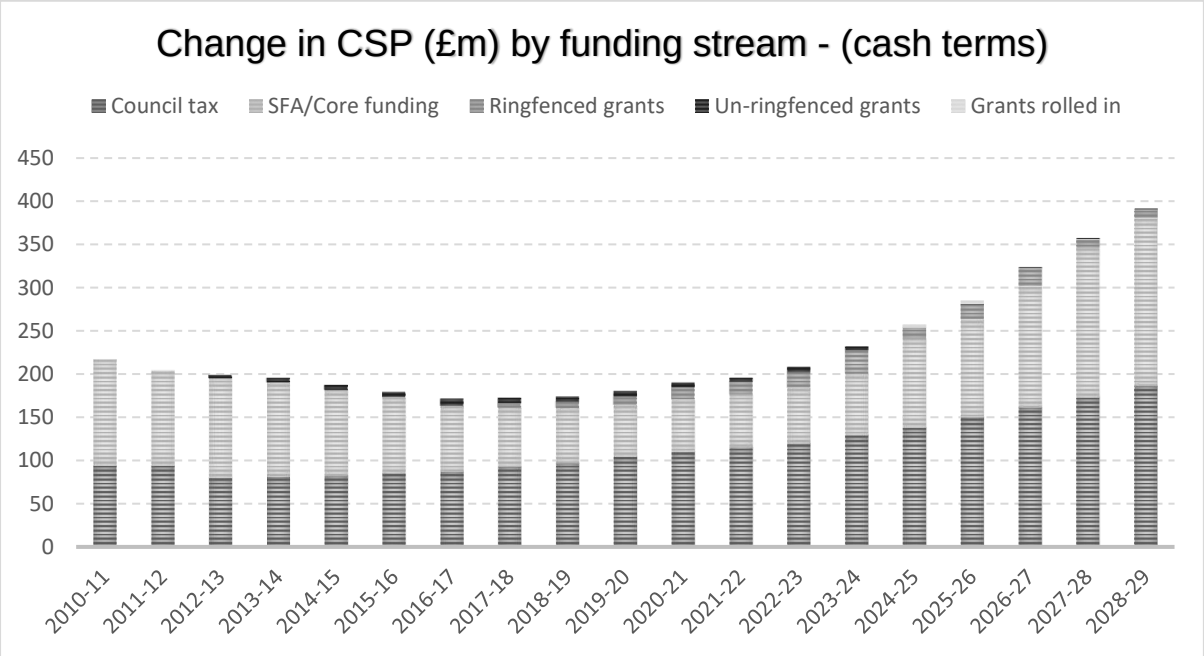
Table 1: Provisional Core Spending Power calculations

Hounslow's Core Spending Power of Local Government (provisional)					
	2024-25	2025-26	2026-27	2027-28	2028-29
	£ millions	£ millions	£ millions	£ millions	£ millions
Fair Funding Allocation	**-**	**-**	**150.4**	**172.0**	**194.0**
of which: Baseline Funding Level	*-*	*-*	*87.5*	*89.5*	*91.3*
of which: Revenue Support Grant	*-*	*-*	*52.8*	*82.5*	*102.7*
of which: Local Authority Better Care Grant	*-*	*-*	*10.1*	*-*	*-*
Legacy Funding Assessment	**111.5**	**123.5**	**-**	**-**	**-**
of which: Legacy Business Rates	*61.5*	*69.9*	*-*	*-*	*-*
of which: Legacy Grant Funding	*41.9*	*43.5*	*-*	*-*	*-*
of which: Local Authority Better Care Grant	*8.2*	*10.1*	*-*	*-*	*-*
Council tax requirement	**137.8**	**150.1**	**161.2**	**173.2**	**186.0**
Homelessness, Rough Sleeping and Domestic Abuse	**2.8**	**3.5**	**5.1**	**5.4**	**5.6**
Families First Partnership	**1.6**	**2.8**	**5.0**	**5.0**	**4.3**
Grants rolled in to Revenue Support Grant	**3.3**	**3.9**	**-**	**-**	**-**
Recovery Grant	**0.0**	**1.0**	**1.0**	**1.0**	**1.0**
Core Spending Power	**257.0**	**284.8**	**322.7**	**356.6**	**390.9**
Core Spending Power year-on-year change (£ millions)		27.8	37.9	33.8	34.2
Core Spending Power year-on-year change (%)		10.8%	13.3%	10.5%	9.6%
Core Spending Power change since 2024 (£ millions)		27.8	65.7	99.6	133.9
Core Spending Power change since 2024 (%)		10.8%	25.6%	38.8%	**52.1%**
Core Spending Power change since 2025 (%)			13.3%	25.2%	**37.2%**

5.17. How CSP will have changed since the beginning of austerity in 2010 is shown below. The graph also outlines that, while on a total basis, CSP will have increased by 16.4% on a real-term basis (or 79.6% on cash-terms), the growth in population demonstrates that CSP per capita remains 4.1% lower than in 2010 (or £50 per resident per annum).



5.18. Within CSP remains the government's expectation that authorities take the full 4.99% Council Tax rise which, by 2028/29, will account for approximately 50% of total CSP, and therefore maintaining the broad funding assumptions since 2010. What this also means is that any deviation from that policy will have a significant impact on CSP and the Council's resultant medium-term budget gap.



Council Tax

5.19. Council Tax remains a critical component of how local services are funded. In 2025/26 Council Tax supported £150m of services across the borough. The December Provisional Local Government Financial Settlement details the government's 2026/27 Council Tax policy:

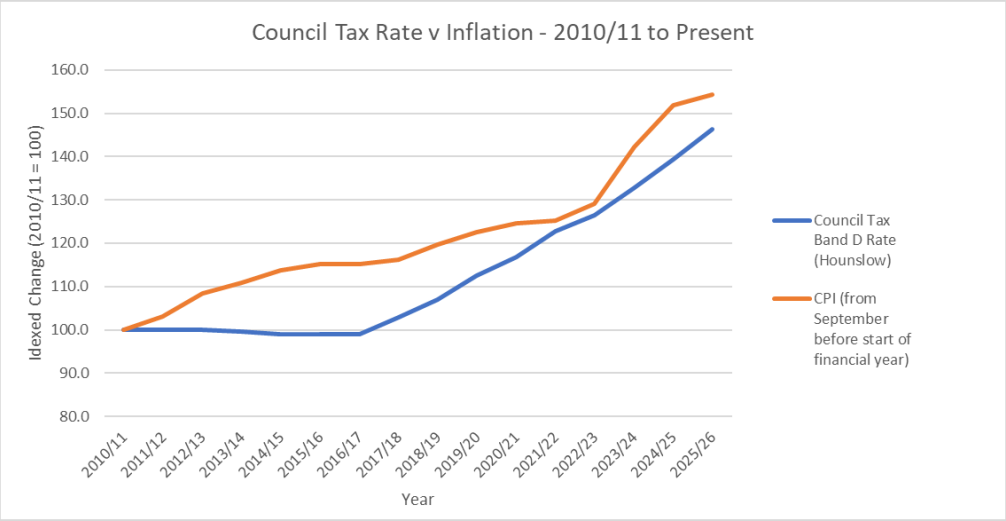
- Up to 2.99% maximum General Fund increase which supports all services. This is below the current level of CPI inflation (at 3.4%) and would generate c£4.5m to essentially fund just inflation rises next year

- Up to 2.00% increase ring-fenced towards Adult Social Care. This would generate c£3m in additional income which is approximately one-third of the growth needed to support increased demand in Adult Social Care (see paragraphs 6.15 to 6.17)

- Any increase in Council Tax above the 4.99% outlined above would require a local referendum

5.20. As noted in paragraph 5.18, CSP is based on the government's expectation that authorities take the full 5% Council Tax rise which, by 2028/29, will account for approximately 50% of total CSP. Additionally, it is important that Council Tax tracks with inflation projections. The chart below outlines how Council Tax has not kept up with inflationary pressures since 2010.

Chart 1: Increases in Council Tax Relative to Inflation



5.21. Hounslow's Band D Council Tax in 2025/26 is £1,595.44 per annum. This puts the Council at £102.04 below the Outer London Council Tax average (which was £1,697.48 in 2025/26).

5.22. **High Value Council Tax:** The government will implement a new High Value Council Tax Surcharge for owners of residential properties valued at £2 million and above, effective from April 2028. The surcharge will be set at £2,500 per annum for properties exceeding £2 million in value, and £7,500 per annum for those valued over £5 million, as detailed below. Revenue generated from the surcharge will be retained by the government, with local authorities receiving compensation for collection costs through the existing council tax framework. A Government consultation regarding this measure is scheduled to commence in 2026.

Council Tax Support

5.23. The Council operates a Council Tax Support Scheme for eligible working age residents; the level of support is dependent on the number of people and income of the household. Council Tax Support for pensioners is provided according to national criteria, full details are available on the Council's website: Council Tax Support | London Borough of Hounslow.

5.24. A recent change to Council Tax support was announced by Hounslow in January 2026 whereby, from April 2026, Care Leavers will receive Council Tax support up to their 25th birthday (current arrangements are up to their 21st birthday). This was approved by Cabinet in January 2026 and will be taken to Council for final approval in March 2026.

Business Rates

5.25. Councils under the Business Rates Retention Scheme (BRRS) retain a proportion of the business rates collected from local businesses, creating a direct link between economic development and local funding. While councils still collect all rates, they no longer transfer the full amount to central government; instead, a pre-defined “local share” is retained (initially 50%), with the remainder going into a “central share” that is redistributed nationally. This mechanism incentivises authorities to attract and support local enterprise—higher business growth translates into higher retained income—rather than relying purely on central grants.

5.26. The scheme embeds both financial rewards and safeguards. Councils that achieve above-forecast growth may owe a “levy” to government, preventing excessive local benefit; conversely, a “safety net” mechanism ensures they are protected if revenues fall sharply—both portions are calculated annually with government-published guidance.

5.27. From 1 April 2026, a full reset as part of the Fair Funding Review 2.0 will recalibrate the system (the first time there has been a reset since BRRS was implemented in 2013/14). All councils will receive new Business Rates Baselines (BRBs) and Baseline Funding Levels (BFLs), reflecting updated assessments of local need, resulting in a redistributive realignment of retained income. Although most historic growth will be redistributed, exemptions apply for designated areas and qualifying renewable energy schemes. Transitional measures will smooth the shift – current funding levels will be temporarily protected while the levy and safety net are fine-tuned before phasing back to standard levels.

5.28. Under the reset of the business rates retention system, Hounslow’s provisional Baseline Funding Level for 2026/27 is £19.9m greater than the Council’s retained business rates budget for 2025/26. Within this the Council has moved from paying back to central Government a ‘tariff’ payment of £9.8m in 2025/26, to receiving a provisional ‘top-up’ of central Government funding of £11.1m in 2026/27. This reflects the redistribution of Government funding under the Fair Funding Review 2.0, rather than any underlying change in the Council’s business rates base.

5.29. Nevertheless, regardless of the business rates funding distribution, the Council still needs to collect the rates due to it as a billing authority for business rates purposes. The reset also coincides with the revaluation of rateable values and the introduction of new multipliers to replace previous discounts. This will introduce short-term uncertainty for business ratepayers as they adjust to the new billing arrangements. It is probable that larger business ratepayers may seek to make protective appeals against existing rateable values in the final months of the current valuation list. These factors introduce further risk to the Council around business rates retention, underlining the need for the Executive Director of Finance and Resources to maintain an appropriate risk reserve for business rates volatility.

Other Grants and Funding Changes

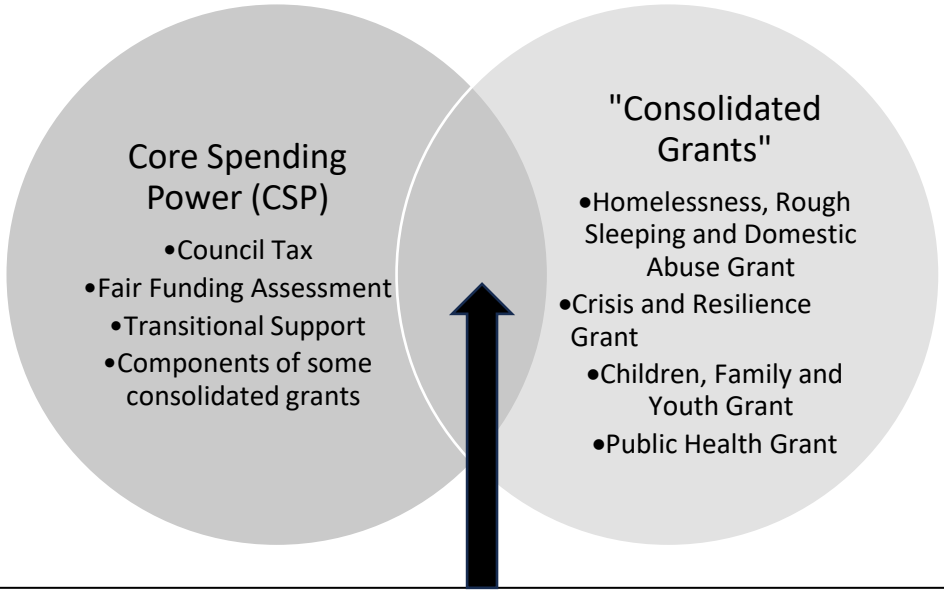
5.30. The 2026/27 settlement announced a simplification of a range of grants into the multi-year settlement. Many of those existing grants are now rolled into CSP which means that the increase in CSP outlined in Table 1 needs to be netted off against the old grants that are already in the system.

5.31. Outside of CSP, the government has announced four Consolidated Grants that will support the delivery of national policy objectives. These are set out below, alongside the annual allocation to 2028/29:

Table 2: Multi-year consolidated grants 2026/27 to 2028/29

Consolidated Grant	**2026/27 £m**	**2027/28 £m**	**2028/29 £m**	**Total £m**
Homelessness, Rough Sleeping and Domestic Abuse Grant	5.1	5.4	5.6	**16.1**
Public Health Grant	20.9	21.3	21.7	**63.9**
Crisis and Resilience Fund	5.1	5.1	5.2	**15.4**
Children, Families and Youth Grant	6.2	6.1	5.4	**17.7**
Total	**37.3**	**38.0**	**37.8**	**113.1**

5.32. The structure of the settlement therefore ends up being:



Consolidated grants in CSP

- Entirety of the Homelessness, Rough Sleeping and Domestic Abuse Grant
- Majority of the Children, Families and Youth Grant

5.33. **The Crisis and Resilience Fund Grant** is a central government administered grant that replaces the Household Support Fund and incorporates the

Discretionary Housing Payments Grant and associated Administration Grant. The PLGFS indicates that Hounslow will receive £5.1m in 2026/27, which represents an increase of £0.6m, and the Government released full guidance on how this fund can be used in January 2026. The fund is to be used to provide timely support to those in financial crisis, to build financial resilience and strengthen community support networks. This report seeks to delegate authority to the Executive Director of Finance and Resources in consultation with the Leader to agree the specific budgets, procurement activity and submission of a delivery plan. A working group of officers from relevant services are working to produce a full set of proposals for how Hounslow will utilise the grant.

5.34. **Better Care Fund:** The Better Care Fund supports integrated health and care services through pooled funding between the Council and the NHS. The 2026/27 PLGFS confirms that the Local Authority Better Care Grant remains a ringfenced section 31 Local Government Act 2003 grant, reflecting its specific role in the Better Care Fund pooling framework. The government also confirmed that it will not introduce changes to minimum pooling requirements before 2027/28. The 2026/27 Local Authority Better Care Grant allocations remain at 2025/26 levels.

5.35. **Adult Social Care National Allocations:** The PLGFS sets out national funding available for adult social care, and DHSC has published notional adult social care allocations for each local authority. While these allocations are illustrative and do not represent formal spending expectations, they provide a benchmark of how adult social care funding might change over the settlement period, based on each authority's recent adult social care expenditure baseline and assumed changes in the overall funding available through Core Spending Power, together with specified adult social care related national funding elements. The government has also published guidance concerning adult social care priorities: https://www.gov.uk/government/publications/adult-social-care-priorities-for-local-authorities. This guidance aims to clarify national adult social care funding and outlines annual expectations for local authorities, following the consolidation of previous grants.

5.36. **Public Health Grant:** The Public Health Grant provides ringfenced funding for statutory public health duties and preventive services. The grant conditions are underpinned by formal reporting and a year-end statement of assurance signed by senior Council officers. The 2026/27 settlement consolidates additional funding for stop smoking services and for drugs and alcohol services into the Public Health Grant and introduces specific ringfences for these elements within the existing grant conditions. This change further increases the importance of clear in year tracking and compliance with grant conditions and reporting categories.

5.37. **Extended Producer Responsibilities:** The governments Extended Producer Responsibility (EPR) for packaging is designed to shift the net cost of managing household packaging waste from councils to producers. Producers started paying fees from April 2025 and government guidance sets out payments to local authorities to cover the net costs of collection, sorting, treatment and

disposal of household packaging waste. Hounslow are due to receive £3.341m from DEFRA through this scheme in 2025/26 which is being treated as a ringfenced earmarked reserve in 2025/26 and will be allocated into the 2026/27 budget. The scheme includes national funding guarantees and a reconciliation process, with government indicating that any top up payments where required will flow via an unringfenced section 31 grant. Hounslow continues to work closely with West London Waste Authority (WLWA) and the constituent authorities to maximise the benefits of this funding and the element received directly by WLWA.

5.38. **Families First funding from the Department for Education**: The PLGFS introduces a new Children, Families and Youth Grant that consolidates multiple children's funding streams, which includes Families First Partnership funding. The Department for Education has highlighted that this funding is intended for preventative activities, such as implementing national children's social care reforms. This includes initiatives like Family Help, multi-agency child protection, and family group decision making. Grant determination letters and DfE briefings have emphasised that the programme funding is effectively "ringfenced" for transformation activity and will require compliance with specific conditions and reporting requirements.

6. General Fund Revenue Budget

Budget Setting Process

6.1. Cabinet received an update report on the OHFS in July 2025. This reported a 2026/27 budget gap of £54m, including a £10m planned contribution to reserves. The Council has retained £54m as the working assumption to drive the scale and pace of the savings programme. The position has remained under review to reflect emerging in-year pressures and wider changes arising during budget development.

6.2. The process for identifying savings for the 2026/27 budget has seen a stepped change in rigour to meet the challenge of the £54m budget gap. Key steps undertaken have been:

- Budget Challenge Sessions: a “critical friend” review of how each service spends its budget to deliver services. This allowed a targeted approach to direct savings towards efficiencies, productivity, income and cost recovery.

- Savings Development: Following the Budget Challenge Sessions, a structured officer-led assurance process to test deliverability, risk, dependencies, and timing before savings proposals progressed

- Reserves Review: A review of reserve purpose, governance, and time horizon to simplify categories and prioritise rebuilding depleted risk reserves.

- Pressures and rebasing: Use of 2025/26 budget monitoring and demand modelling to identify recurring pressures that require either mitigation or evidenced rebasing.

- Continuous Updates: Savings proposals and underlying principles were regularly taken to Cabinet Members (individual and collectively) for feedback

- Pre-decision scrutiny: An overview of the budget was presented to Overview and Scrutiny in November, with a follow-up in January for the Committee to review individual proposals (for General Fund and Housing Revenue Account)

6.3. Following this process, the Council recommends to Council a total of £26.1m savings identified to support balancing the 2026/27 budget. These savings, along with the £21.3m improvement in the council’s funding position for 2026/27 arising from the provisional local government finance settlement as result of the implementation of the Fair Funding Review 2.0, and the re-profiling of the top-up to reserves, have allowed a balanced revenue budget to be set for 2026/27. The detailed allocation of these budget changes to service is shown in Appendix B and described further in the sections below.

Service Outlook and Pressures – Delivery of the 2025/26 Budget

6.4. The Quarter 3 monitoring report forecasts a £6.8m overspend on the General Fund revenue budget, comprising £4.8m in directorate pressures and a £2.0m net corporate variance after applying contingencies and provisions.

6.5. Demand led and high-cost services continue to drive most of the forecast pressure. Regeneration, Housing and Environmental Services forecasts a £2.7m overspend. Children's and Adult Services forecasts a net £0.9m overspend. Other directorates report smaller net variances.

6.6. Within Regeneration, Housing and Environmental Services, the Waste and Recycling service remains a key pressure. It forecasts a £2.5m overspend, driven by collection and disposal cost increases and lower recyclate income performance. A Waste Action Board is reviewing delivery and the underlying budget base to secure in-year mitigation and reduce recurrence into 2026/27.

6.7. Corporate budgets include a forecast treasury management underspend of £2.7m, reflecting interest receivable, cash balances, and the latest borrowing profile. Quarter 3 also reports an unallocated savings pressure of £2.1m. This reinforces the need to deliver agreed savings in full and on time, given the scale of savings required across the medium term.

6.8. The 2025/26 budget included a £30.0m corporate contingency for service demand pressures. At Quarter 3, the Council has applied £25.7m of this provision, leaving £4.3m held for new pressures in the final quarter. This provides headroom against volatility while reinforcing the need for tight expenditure control and early corrective action.

6.9. During 2025/26 the Chief Finance Officer introduced additional spending controls across all directorates to reduce discretionary spend and protect the Council's financial position. This contributed to reducing the forecast overspend from £10.5m at Quarter 2. Work remains focused on demand management, workforce control, income generation, and the delivery of agreed savings to reduce the overspend as far as possible before year-end.

6.10. Hounslow's 2025/26 forecast overspend includes an estimated £5.0m structural deficit. This reflects recurring cost pressures that sit within the base budget, rather than one-off variances. The main drivers relate to demand growth and workforce capacity requirements that have increased faster than the budget uplifts applied in recent years.

6.11. The indicative recurring breakdown is:

- £1.3m for the Social Care Academy, reflecting the cost of sustaining a stable workforce model and reducing reliance on agency. This remains under close monitoring and is expected to reduce higher-cost agency usage over the medium term.

- £2.0m for waste collection and disposal, where the base budget has not kept pace with demographic growth and demand. The extended producer responsibility (EPR) packaging grant funding may help to mitigate some of this pressure (see paragraph 6.36).

- £1.7m for other recurring pressures across the Council, to be confirmed through in-year rebasing and the 2026/27 budget challenge

6.12. The 2026/27 budget strategy addresses this structural position through rebasing where a clear and evidenced case is presented, delivery of recurring savings and income, and tighter demand management and budgetary control framework to prevent the gap re-emerging in future years.

Service Specific Contingency Items

6.13. In line with approach used for the 2025/26 budget, an analysis was carried out to assess the future budget needs of the Council's main demand-driven services.

6.14. These updates to budget pressures have resulted in a recommended corporate contingency of £27.1m in 2026/27, as detailed in Table 3 below. These contingency sums will continue to be reviewed to reflect service review options and activity and progress with delivery continuing into 2026/27, seeking to mitigate pressures wherever possible. The report also recommends that any re-basing of contingencies during the year is delegated to the Executive Director of Finance and Resources.

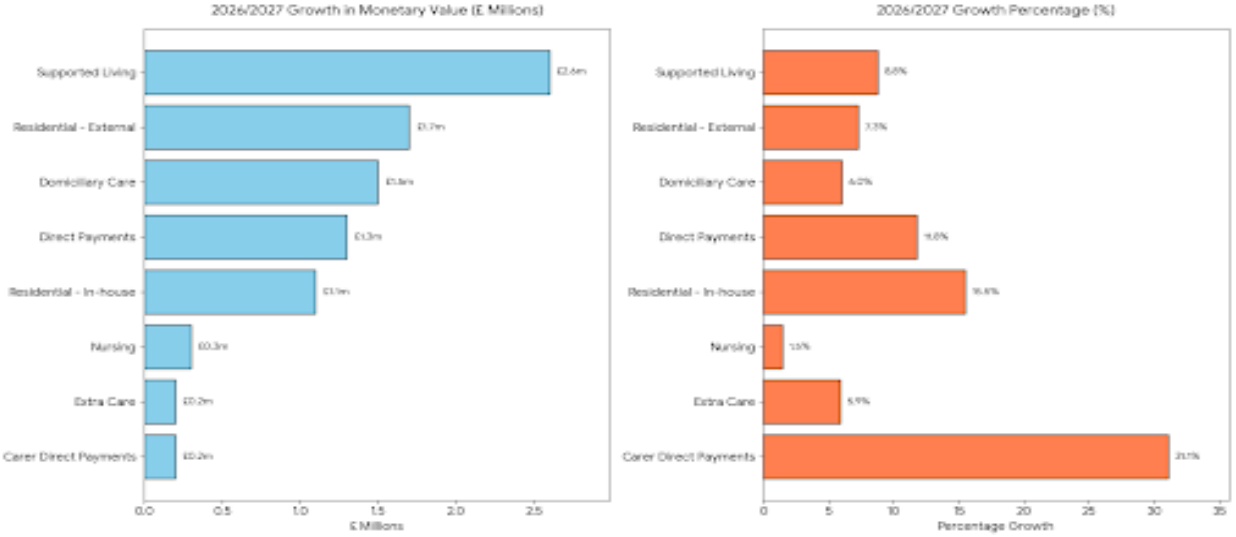
Table 3: Proposed Corporate Contingency 2026/27

Item	OHFS Resources 2026/27 (£m)	Proposed Re-basing to Service Budgets (£m)	Proposed Realignment (£m)	Contingency 2026/27 (£m)
Children's Specialist Services	8.3	(8.0)	-	0.3
SEN Transport	1.4	-	(0.7)	0.7
Children With Disabilities Service	2.1	(1.8)	(0.3)	0.0
Adult Social Care Placements	22.7	(12.4)	(2.3)	8.0
Homelessness and Temporary Accommodation	3.8	-	(3.2)	0.6
Waste and Recycling	0.0	-	0.5	0.5
Savings Delivery	5.0	-	-	5.0
Sub-total: Specific Items	**43.3**	**(22.2)**	**6.0**	**15.1**
Budget Pressures	5.0	-	5.0	10.0
General Contingency	1.0	-	1.0	2.0
Total	**49.3**	**(22.2)**	**0.0**	**27.1**

6.15. Adult Social Care Placements: The draft 2026/27 budget includes £8.0m of demand-led growth for Adult Social Care placements and packages of care. This excludes inflation and provider fee uplifts, which are modelled separately. The estimate draws on the updated forecasting model, recent in-year trends, and the pipeline of new and changing packages as at October 2025.

6.16. Growth reflects both increasing numbers of people requiring support and increasing complexity. Growth is concentrated in Supported Living, External Residential placements, domiciliary care and direct payments. The underlying gross service pressure totals £8.9m, with the net £8.0m position reflecting projected client contribution income based on current trends.

Chart 2: Summary of projected 2026/27 Adult Social Care placement growth by setting



6.17. Consistent with national trends, the medium-term outlook remains challenging. Placement spend projects significant growth by 2029/30 if current trajectories continue without major intervention or policy change. The Council continues targeted reviews and procurement activity, with developed proposals included within the savings programme. The service also continues to work on extra care capacity and technology, where these reduce cost and improve outcomes.

6.18. Homelessness and Temporary Accommodation: Growth was built into the 2025/26 budget on the expectation that demand for temporary accommodation (TA) would increase by roughly 30% (equivalent to an additional 200 households in TA). Based on performance to date, the number of households in TA has actually remained relatively flat in 2025/26. Homelessness approaches remain high across London and expected reductions in new social housing supply over the next two years increase risk. Private rented sector reform also increases uncertainty for both landlords and households.

6.19. The contingency provision held for Homelessness for 2026/27 has therefore been set at £600k. This reflects a reduction of £1.6m on the allowance that had previously been included in the OHFS. The reduction (which is captured as a saving proposal) reflects the impact of TA numbers staying flat in the current

financial year. The existing base budget combined with this growth allowance remains sufficient to manage an increase of around 240 households.

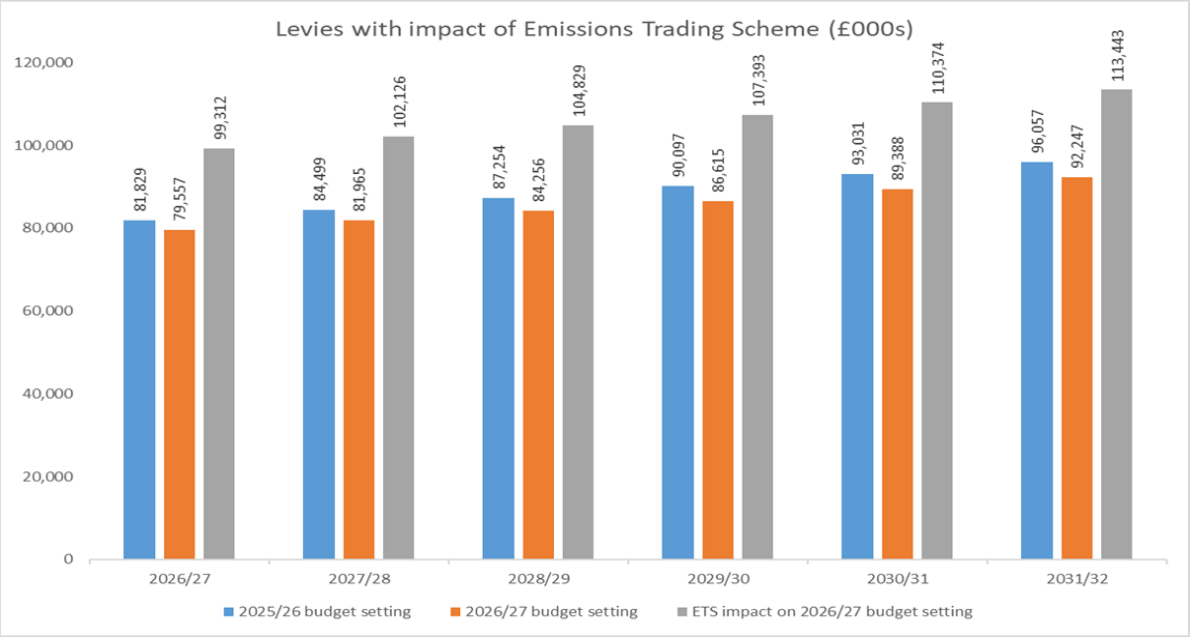
6.20. Waste Services: Waste budgets remain under sustained pressure. Drivers include disposal costs, levy movements linked to residual waste tonnages, landfill tax increases, above inflation uplifts on contracts, and cost drivers within the WLWA cost base.

6.21. Based on Quarter 3 monitoring, projected 2025/26 outturn tonnages align closely to budget. Current estimates for 2026/27 indicate broadly stable residual waste tonnages, consistent with around 1% population growth. The budget includes a £0.5m contingency provision and the also assumes a rebasing of the waste budget following a deep dive review.

6.22. The Council will continue to manage this risk through active performance management of collection and recycling, targeted interventions to reduce residual waste, and close joint working with WLWA on forecasting, cost control, and known policy and market changes. This includes building intelligence on emissions-related cost impacts.

6.23. WLWA medium-term forecasts show emissions trading scheme costs could materially increase levy requirements over time. On current assumptions, this could increase levies by more than 40% by 2031/32, compared to around 16% under current extrapolations. The Council will keep this risk under close review and reflect updated information through the annual WLWA budget cycle and Hounslow's medium-term planning.

Chart 3: Projections of Future Growth in Waste Disposal levies



Taken From West London Waste Authority Budget report for 2026/27 (January 2026)

6.24. Children's Services and SEN Transport: Children's Social Care remains a high risk, demand-led area. Demand continues to rise and need continues to

become more complex. At the same time, the external placements market remains under severe strain. Provider capacity remains constrained and prices continue to increase, with continued reliance on spot purchasing in parts of the market. These pressures increase average placement costs and increase the likelihood of children requiring higher-cost specialist provision, including outside-borough placements.

6.25. The draft budget therefore treats Children's Social Care as a principal demand-led pressure area and includes a specific contingency approach. This protects the council against downside risk where placement numbers, placement type, or market prices exceed the base budget, and it reflects the volatility associated with the current provider market. The Council continues to reduce pressure and improve value for money through early help and edge of care, tighter commissioning and contract management, improved step-down planning, and investment in local capacity where this reduces reliance on high-cost external placements (e.g. the Bedfont Lane and Westbrook schemes).

6.26. SEN transport remains under sustained pressure and links directly to growth in SEND demand. Cost drivers include rising EHCP volumes, increased complexity, longer journey distances, specialist transport availability and pricing, and wider market workforce pressures. The budget sets a clear savings ambition for SEN transport. Proposals focused on route planning and scheduling, tighter commissioning and brokerage, and improved use of local provision where these meets assessed need.

6.27. These updates result in a recommended corporate contingency of £27.1m in 2026/27, as set out in Table 3. These sums will remain under review through 2026/27 to reflect service redesign, delivery progress, and updated forecasts. The report recommends delegating in-year realignment of contingency budgets to the Executive Director of Finance and Resources.

Council Tax Resolution

6.28. The Council Tax is set as a rate with reference to a standard Band D property to provide the 'relevant basic amount' for Council Tax purposes, based on the Council Tax Requirement divided by the approved Council Tax Base, as set out in Table 2 above.

6.29. The expected statutory calculation of the amounts of Council Tax for 2026/27 is included in Appendix A and will be presented to Borough Council when considering the Cabinet's recommendations regarding budget approval and Council Tax setting.

6.30. The provisional local government finance settlement outlined the referendum principles that will apply in 2026/27. These are that the relevant basic amount of Council Tax of an authority is excessive if the authority's relevant basic amount of Council Tax for 2026/27 is 5% (comprising 2% for expenditure on adult social care, and 3% for other expenditure).

6.31. The proposed increase to Council Tax in this report of 4.99%, comprising a 2% increase in the Adult Social Care precept and a 2.99% general increase is therefore each increase is not excessive with regard to the respective regulations, hence no local referendum is required for it to be set.

6.32. The Greater London Authority (GLA) sets an overall precept for London on an annual basis. The precept is the Mayor of London's part of the Council Tax and is collected by London Boroughs and the Corporation of London. The precept collected contributes funding towards services provided by the GLA functional group of authorities including the Mayor's Office for Policing and Crime, the London Fire Brigade, Transport for London and the Greater London Authority.

6.33. The Mayor's budget proposes that the consolidated council tax requirement reflects a proposed increase in the policing element of Band D council tax precept of £15.00. This means the police element of the precept will increase from £319.13 in 2025/26 to £334.13 in 2026/27 for a Band D property. The council tax charge for non-police services is proposed to increase by £5.13, from £171.25 in 2025/26 to £176.38 in 2026/27 for a Band D property.

6.34. Consequently, the Band D council tax payable in the 32 London boroughs (the adjusted precept) is proposed to increase by 4.1 per cent from £490.38 in 2025/26 to £510.51 in 2026/27 (an annual increase of £20.13).

6.35. Based on the Mayor's draft consolidated budget and the budget proposals in this report, the overall increase in Council Tax likely to be payable by Hounslow residents is shown in Table 5 below:

Table 5: Overall Council Tax Increase 2026/27

Local Authority	Council Tax Band D 2025/26 (£)	Council Tax Band D 2026/27 (£)	Change from 2025/26 (£)	Change from 2025/26 (%)
London Borough of Hounslow	1,595.44	1,675.05	79.61	4.99%
Greater London Authority	490.38	510.51	20.13	4.10%
Total	**2,085.82**	**2,185.56**	**99.74**	**4.78%**

Savings

6.36. The 2026/27 budget includes £26.091m of new permanent savings. When combined with adjustments relating to savings approved within the 2025/26 budget (totalling £1.837m), total savings of £27.928m are proposed to be built into the 2026/27 budget. A detailed summary of all new savings for 2026/27 is included in Appendix C.

6.37. A summary of the impact of savings proposals on the 2026/27 budget is shown in Table 6 below.

Table 6: Savings Proposals

Item	2026/27 Savings (£000s)
Full-Year Effect of 2025/26 Savings	1,837
New Savings Proposed in February 2026	26.091
TOTAL Savings 2026/27	**27,928**

6.38. Based on the approach to identifying savings described in Paragraph 6.2, savings options were generated based on a set of agreed lines of enquiry that were applied to each individual service area. These same lines of enquiry were also explored through a corporate lens to identify cross-cutting opportunities. The agreed savings proposals for 2026/27 have been grouped into these key themes in Appendix C.

6.39. Saving opportunities are therefore presented according to the following areas of opportunity:

- **Alternative Funding** – where additional funding outside of the General Fund is available to support existing service delivery
- **Commercialisation** – where commercial principles can be applied to open new income streams or leverage value from assets
- **Fees & Charges** – amending fee structures to yield more income
- **Procurement Opportunities** – driving greater value from services that are procured via contracts with third parties
- **Income Generation** – where there is greater demand for fee-paying services or better recovery of fees (not changing fees themselves)
- **In-House Provision** – where the Council could switch to internal models of delivery to get better value
- **Managing Demand** – work to reduce increases in the volume or complexity of service demand
- **Operating Efficiently (Support Services)** – introducing better ways of working to enabling and support functions
- **Operating Efficiently (Frontline Services)** – introducing better ways of working without compromising the quality-of-service delivery
- **Technical Items** – financing and accounting opportunities

Fees and Charges

6.40. The Council has a wide range of powers to charge for services, that are derived both from specific statutes and the Council's general power of competence. It is strengthening its approach through a single corporate framework for setting and reviewing charges. This supports the budget strategy by strengthening locally generated income and by requiring services to understand and manage the full cost of delivery, including demand and collection risks.

6.41. The core principle is full cost recovery for discretionary services. Charges should reflect the full cost of provision, including a corporate overhead

contribution. This reduces cross-subsidy so Council Tax payers do not routinely fund services used by a smaller group of residents or businesses.

6.42. Where the Council chooses to subsidise a discretionary service for policy reasons, the subsidy should be explicit and approved. Reports should set out the financial case, the level and duration of subsidy, and the rationale for any concessions linked to agreed outcomes.

6.43. Fees and charges will be reviewed annually as part of the budget timetable. Services will use benchmarking and demand assessment to support pricing decisions, with robust collection arrangements to protect cashflow and support reliable income forecasts.

6.44. For 2026/27, services have applied a minimum uplift aligned to September CPI of 3.8%, with additional increases assessed where required for cost recovery. The review also reflects cost increases linked to employer National Insurance contributions where these impact service delivery costs.

6.45. The proposed uplifts are forecast to deliver the £0.5m income-related saving included in Appendix C.

6.46. Appendix D sets out the detailed schedule of proposed fees and charges from 1 April 2026, including statutory uplifts, policy changes, and income generation items.

Reserves

6.47. The Council holds reserves for a range of reasons. CIPFA states in the Financial Management Code that “the aim of the authority’s financial reserves is to provide funding for investment in future activities and to act as a safety net in case of short-term financial challenges.” For this reason, authorities must maintain a reserves strategy.

6.48. The requirement for financial reserves is acknowledged in statute. Sections 32 and 43 of the Local Government Act 1992 require precepting authorities and billing authorities in England and Wales to have regard to the level of reserves needed for meeting estimated future expenditure when calculating the budget requirement.

6.49. The reserves strategy defines the level and purposes for which the Council holds reserves. It consists of three key elements:

- Strategy: what the Council is seeking to achieve through holding reserves;

- Financial Planning: linking the level of reserves with plans for their use over the period of Medium-Term Financial Strategy (MTFS); and

- Operational Framework: how the Council determines the level of reserves, manages those reserves and plans for their use in line with best practice and statutory requirements.

6.50. Reserves that authorities hold fall into two main categories:

- Usable reserves – those that the Council could utilise to fund capital or revenue expenditure. Some of these reserves could be applied generally but others will have stipulations attached on their use.

- Unusable reserves – these hold unrealised gains or losses for assets not yet disposed of and accounting adjustments, which are required by statute. These reserves cannot be used to fund capital or revenue expenditure.

6.51. Usable Reserves can be grouped even further:

- Unallocated General Balance – working balances held to ensure long term solvency and to mitigate risks e.g. the General Fund balance and the Housing Revenue Account balance

- Earmarked Reserves – to fund specific projects or investments, or as a means to build up funds for known risks or contingencies, e.g. the capital financing reserve or the insurance reserve;

- Ring-fenced Reserves – carried forward balances or grant funding which have certain conditions or restrictions attached to them preventing their general use by the Council, e.g. schools' balances or homeless prevention grant;

- Capital Reserves – amounts held to finance capital expenditure, e.g. receipts from asset disposals and capital grants

6.52. The Unallocated General Balance is reviewed every year to examine risk exposure and has been retained at a minimum level of £18.0m. This has been included in Appendix H.

6.53. Reserves should only be used for unforeseen emergencies; mitigation of known risks; pump priming for investment; smoothing of spending fluctuations; or short-term transitional support. Reserves should not be used to support ongoing expenditure commitments or as a substitute for delivering an annually balanced budget. The proposed reserve position recommended for approval in this report is set out in the table 7 below and based on the 2025/26 Quarter 3 budget monitoring position:

Table 7: Balances and Reserves Forecast

Reserves	Opening Balance (£m)	Net Budgeted Movement (£m)	Quarter 3 Forecast Movement (£m)	Quarter 3 Variance (£m)	Forecast Closing Balance (£m)
General Balances	**18.0**	**0.0**	**0.0**	**0.0**	**18.0**
Earmarked Reserves					
Risk Reserves	42.3	(18.8)	(15.2)	3.6	27.1
Strategic Investment Reserves	13.7	(6.5)	(8.6)	(2.1)	5.1
Operational Reserves	54.6	(13.6)	(12.0)	1.6	42.6
Ringfenced Reserves	12.5	(5.1)	(8.1)	(3.0)	4.4
Total Earmarked Reserves	**123.1**	**(44.0)**	**(43.9)**	**0.1**	**79.2**
Total Reserves	**141.1**	**(44.0)**	**(43.9)**	**0.1**	**97.2**

6.54. Over the past five years the use of reserves can be seen to reduce on an inversely proportional basis to inflation. With changes arising from the Fair Funding Review, the is an expectation that the Council will build back its risk and investment reserves over the medium-term. The medium-term outlook is to add £15m per annum in 2027/28 and 2028/29. This is subject to change should economic conditions worsen.

6.55. A detailed reserves review during 2025/26 has tested each earmarked reserve for continuing purpose, quantified commitment, owner accountability, and time horizon. Where reserves no longer support a defined risk or funded plan, the Council will streamline, consolidate, or release balances. The review has also identified opportunities to capitalise eligible one-off commitments previously assumed to be funded from revenue reserves, reducing pressure on reserves while delivering the underlying commitments through the capital programme and appropriate financing routes.

6.56. The review supports rebuilding risk-based reserves to a more sustainable level over the medium term, reflecting demand volatility and wider corporate risks. The Quarter 3 forecast reflects early outcomes of this work. In the short term, the need to rebuild the budget support risk reserve has reduced headroom for other risks, including Business Rates and Dedicated Schools Grant deficit. This underlines the importance of restoring reserves over the next two years in line with the Council's risk profile.

6.57. Where expenditure meets the relevant criteria, the council can draw on the government's Flexible Use of Capital Receipts direction in 2025 to 2026 to fund qualifying transformation and reform costs on a time limited basis. This supports delivery of recurring savings and reduces reliance on reserves for budget support.

2026/27 Budget and Medium-Term Outlook

6.58. The estimated budget gap presented in the One Hounslow Financial Strategy in July 2025 was £67.4m from 2026/27 to 2028/29. The 2026/27 budget gap was reported as £54.2m (inclusive of a £10m contribution to reserves). Table 8 recasts those figures gross of Council Tax decisions.

6.59. Following inputs from savings, emerging pressures, macro-economic assumptions and Fair Funding, the budget gap can now be updated.

Table 8: Updated One Hounslow Financial Strategy

Changes since July 2025	2026/27 over 2025/26	2027/28 over 2026/27	2028/29 over 2027/28	Total
	£m	£m	£m	£m
Budget Gap - July 2025 (excl. inflation)	**48.022**	**8.894**	**12.612**	**69.527**
Service Specific Items:				
New Savings	(26.091)	(5.214)	0.000	**(31.305)**
New Pressures	5.000	5.000	5.000	**15.000**
New Investments	1.200	2.000	2.000	**5.200**
Subtotal	**(19.891)**	**1.786**	**7.000**	**(11.105)**
Funding:				
Fair Funding	(21.311)	(19.452)	(19.812)	**(60.575)**
Council Tax Increase	(7.530)	0.000	0.000	**(7.530)**
Council Tax Base	0.575	(0.040)	(0.039)	**0.496**
Subtotal	**(28.266)**	**(19.492)**	**(19.851)**	**(67.609)**
Corporate Changes:				
Pay inflation	4.309	3.058	2.610	**9.976**
Non-Pay inflation (including LLW)	9.420	6.685	5.705	**21.810**
Other	(3.593)	0.318	0.000	**(3.275)**
Subtotal	**10.135**	**10.061**	**8.314**	**28.511**
Budget Gap Before Use of reserves	**10.000**	**1.249**	**8.075**	**19.324**
Use of Reserves	0.000	0.000	0.000	**0.000**
Contributions to Reserves	(10.000)	15.000	15.000	**20.000**
Budget Gap	**0.000**	**16.249**	**23.075**	**39.324**

6.60. Table 8 summarises the updated budget gap and the main drivers under the following categories:

Service Specific Items

- **New Savings** – savings proposed that were taken to Overview and Scrutiny Committee on 26 January 2026. These savings can be categorised into the broad themes outlined at Paragraph 6.39 and can be found in Appendix C

- **New Services Pressures** – emerging pressures arise throughout the year from the forecast 2025/26 outturn and demand-led modelling. The Quarter 3 budget monitoring 2025/26 outturn indicates a £6.8m pressure with £5m of this sum recurrent and structural and predominantly linked to demand. This informs the 2026/27 base budget and contingency approach. Further detail is given below for specific service areas including the 2026/27 contingency provisions. An additional unallocated £5m per annum is included in 2027/28 and 2028/29 to capture any demand pressures, inflation volatility and new burdens arising from national government policies (for example Emissions Trading Scheme (ETS) or Renters Reform).

- **New Investments** – A specific set of investments are proposed in 2026/27 in the bullet points below. A further unallocated £2m per annum from 2027/28 is included for future investments.
    - £750k - Improvements to public realm through extension of cleaner streets programme
    - £200k - Resident access programme to support and provide discounts to lower income residents & access services at low and/or no cost
    - £250k – Targeted support for community groups. Investment in community capacity to reduce demand on statutory services and build stronger neighbourhoods.

<u>Funding</u>

- **Fair Funding Review** – Changes in funding arising primarily from FFR2.0 is explained further from Paragraph 5.11.

- **Council Tax increase** – A proposed 4.99% increase will generate an additional £7.530m towards service delivery (of which c£3m supports Adult Social Care). No Council Tax assumptions are made from 2027/28 at this stage.

- **Council Tax Base** – the change in Band D equivalent tax base in accordance with January 2026 Cabinet Report. There is a slight reduction in the tax base as the Council extends support to Care Leavers up to their 25th birthday.

<u>Inflation</u>

- **Inflation** remains one of the main drivers of the Council's cost base. It affects staff pay, the London Living Wage commitment, and the prices charged by suppliers across major contracts. It also feeds through into areas where the Council purchases care and accommodation in markets where prices tend to move faster than general inflation. These sums sit alongside service pressures and therefore also shape the scale of the budget gap and savings requirement.

- **Pay Inflation and London Living Wage** (£4.309m in 2026/27) – this is a combination of employee and employer pay inflation, using CPI as the indicator of what 2026/27 pay award might be. Inflationary uplifts tend to be agreed mid-year following negotiations with the National Joint Council (NJC). An estimate of 3.5% is made for 2026/27 before dropping down to 2.4% in 2027/28 and 2% from 2028/29. London Living Wage is a Council commitment to ensure all staff that provide services to Hounslow's residents receive a basic wage to meet the higher cost of living in the capital.

- **Non-pay inflation** (£9.420m in 2026/27- Contractual inflation provision is supported by itemised estimates for inflation, but it will be applied flexibly based on evidenced need and through robust governance processes.

- The Council holds most inflation provision centrally. Services must evidence contractual entitlement or market movement before allocations are released, and this will often be some months into the financial year. This approach protects the budget from over allocation where inflation proves lower than assumed, while providing capacity to ensure services receive support where inflation proves higher or where contracts contain explicit uplift clauses.

Reserves

- **Contribution to Reserves** – The anticipated £10m contribution to reserves in 2026/27 has been forgone to create additional risk contingency budgets. From 2027/28, enabled by the year-on-year increase in FFR2.0 grant funding, an estimated £15m contribution to reserves is forecast.

7. Dedicated Schools Grant (DSG)

7.1. The Dedicated Schools Grant (DSG) is a specific grant that is paid to the council in four blocks:

- ❖ Schools Block –provision of education of 5- to 16-year-olds;
- ❖ High Needs Block –provision for children and young people with Special Educational Needs and Disabilities (SEND);
- ❖ Early Years Block – provision for pre-school support for 2-, 3- and 4-year-olds;
- ❖ Central Schools Services Block – to fund the cost of certain local authority statutory functions undertaken on behalf of all schools in the borough.

7.2. The amount of DSG received by the council is determined via national funding formulae for each of the blocks. The Department for Education (DfE) announced details of the funding settlement for 2026/27 in December 2025. Table 9 below shows the allocations, before recoupment to fund academy and

free school provision, and other adjustments. The allocation shown for 2025/26 was published in January 2026.

Table 9: Allocation of Dedicated Schools Grant 2025/26

DSG Block	DSG 2025/26 (£m)	DSG 2026/27 (£m)	Increase from 2025/26 (%)
Schools Block	261.0	269.1	3.1%
High Needs Block	75.1	79.3	5.6%
Early Years Block	35.9	41.0	14.2%
Central Schools Services Block	1.9	2.0	5.3%
Total DSG	**373.9**	**391.4**	

*Includes £136.8m recoupment deducted and distributed to academies for like-for-like comparison with 26/27 allocation which includes unconfirmed recoupment

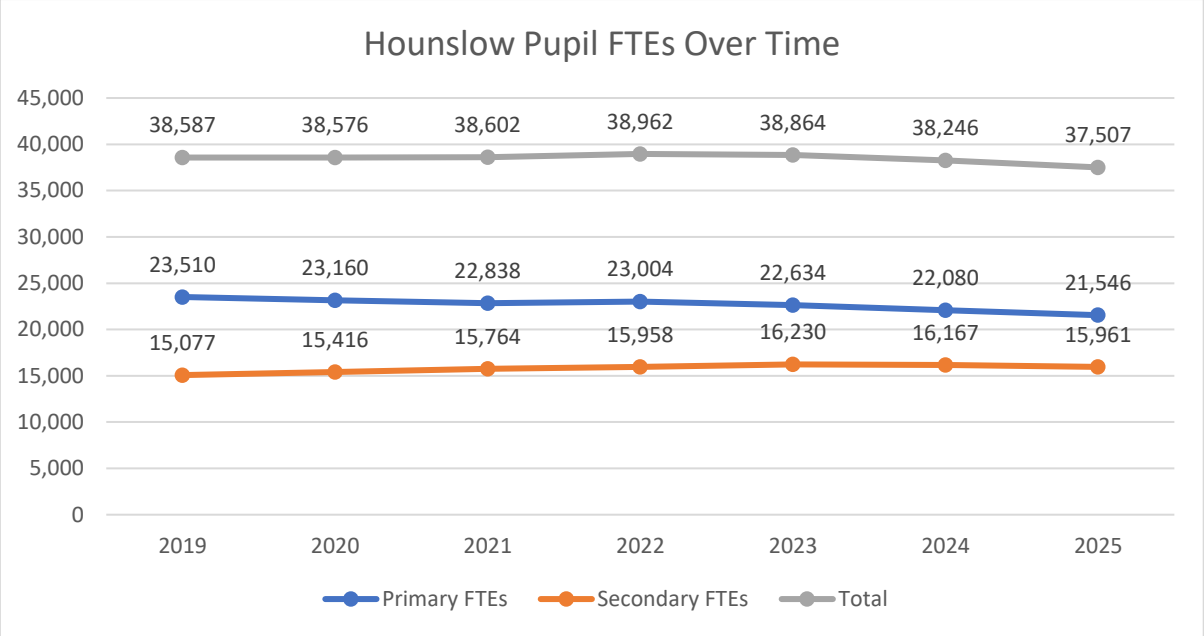
Schools Block

7.3. Table 9 above shows an £8.1m increase in Hounslow's Schools Block allocation before recoupment for academy and free school provision. This is inclusive of national insurance contributions (NICs) grant and Schools Budget support grant (SBSG) that was paid as a separate grant in 2025/26.

7.4. The principles on which Hounslow proposed to set its local schools' 5-to-16 funding formula for 2026/27 are outlined in the '2026/27 Schools Funding formula and expenditure funded from the Schools Block' paper reported to Schools Forum in January. These principles have been applied in the preparation of the 2026/27 Annual Proforma Tool (APT) return that has been submitted to Department of Education (DfE).

7.5. In addition to approving the AWPU rate used to set schools Individual School Budget (ISB), Schools Forum approved a Falling Rolls Fund of £428.4k to support schools with exceptionally high falling pupil numbers, and a transfer of £449.2k from the Schools Block to the High Needs Block. Individual School Budget (ISB) allocations can be confirmed and issued to schools once the APT return has been validated by the DfE.

7.6. Despite the increase in per pupil funding, schools with vacant places face particular cost pressures because funding allocations are dependent on pupil numbers. The table below shows the number of Hounslow pupil numbers between 2019 and 2025. There has been a 740 drop in pupil numbers between October 2024 and October 2025 across secondary and primary schools. For 2026/27 the Falling Rolls Fund approved by Schools Forum will support four of the most affected primary schools in the borough.



7.7. At the end of 2024/25, 17 of the Council's 49 maintained schools had deficit balances, increasing the number of schools in deficit from the previous year by 4. The total cumulative deficit increased from £1.5m to £4.6m, resulting in a total schools' surplus balance of £2.8m, down from £7.2m at the end of 2023/24. 20 schools are forecasting deficit balances by the end of the current financial year, and for the first time the total schools balance is forecast to move from a surplus (£2.8m) to a deficit (£4.6m).

7.8. Falling pupil rolls is cited as the main reason for schools' deficits, along with increased pressures against SEND, maternity-pay, and inflation. Whilst the deficit is currently ringfenced to the DSG, there is a risk to the General Fund, particularly where schools are mandated to convert to academy status or amalgamate. Since March 2024 the Council has taking advantage of the DfE's free Schools Resource Management Advisors (SRMA) programme and commissioned 35 deployments to schools; 18 of which have been completed and a further 17 expected to be completed by the end of March. The Hounslow Schools Financial Sustainability Programme has also been set up in response to the increasing number of schools in financial difficulty and have been picking up SRMA recommendations and working with schools to develop deficit recovery programmes.

<u>High Needs Block</u>

7.9. There is a current year overspend of £4.4m projected against the DSG High Needs Block funding allocated by DfE, as shown in the Quarter 3 Financial Monitoring Update report elsewhere on this agenda. This overspend is due to the cost of provision for pupils with SEND exceeding the level of funding provided to Hounslow through the National High Needs Funding Formula, driven mostly by an increasing number of young people with Education, Health and Care Plans (EHCPs) and increases in the average cost of specialist provision.

7.10. In March 2023 the Council entered the DfE's Safety Valve programme which requires the Council to eliminate its cumulative DSG deficit by 2027/28 through a series of interventions outlined in its DSG Management Plan, and funding contributions from the DfE (£26m) and the Council's General Fund (£12m) over the medium term. In the Quarter 3 Financial Monitoring Update report, a cumulative deficit of £11.8m is forecast against the DSG reserve after contributions from the DfE (£2.7m) and General Fund risk reserves (£2.2m).

7.11. The council is nearing the end of Year 3 of this agreement and so far, has made good progress on delivery of actions. Modelling at the onset of the Safety Valve programme anticipated the greater financial benefits towards the end of the programme, as shown in Table 10 below.

Table 10: DSG High Needs Deficit Forecast

Item	**Forecast 2025/26 (£m)**	**Forecast 2026/27 (£m)**	**Forecast 2027/28 (£m)**
Cumulative DSG deficit - brought forward (deficit at beginning of financial year)	12.3	11.8	8.3
In-year DSG deficit (before Safety Valve and local contributions and after DSG Management Plan actions)	4.4	1.6	(0.6)
Safety Valve programme contribution	(2.7)	(2.7)	(5.4)
Local contribution from earmarked risk reserve	(2.2)	(2.4)	(2.3)
Cumulative DSG deficit - carry forward (deficit at end of financial year)	**11.8**	**8.3**	**0.0**

7.12. There are however challenges in achieving Safety Valve targets from 2026/27; these include an unrelenting and rapid growth in EHCPs, and special free schools charging above market inflation. In addition, though Table 9 suggests a 5.6% increase in the HN allocation for 2026/27, the increase is mostly due to NICs and Core Schools Budget grant received in-year that has been rolled in; excluding the rolled-in grants, Hounslow's HN allocation has been uplifted by around 0.3% which is inadequate to cover anticipated inflationary costs. The government's white paper, expected in early 2026, is anticipated to confirm detail on SEND reform and future governance.

7.13. The 2026/27 High Needs budget will be brought to the Schools Forum meeting in February 2026.

<u>Early Years Block</u>

7.14. The Council's total provisional funding allocation for Early Years provision has increased by £5.1m for 2026/27. The net increase comprises of the following:

- ❖ An increase in the funding rates for under 2, 2, 3 and 4 year olds;
- ❖ The full year impact of the extension of the under 2- and 2-year-old working parent entitlement from 15 hours to 30 hours;
- ❖ Additional funding for ring-fenced Early Years Pupil Premium and Disability Access Funds;
- ❖ A net increase in the number of Part Time Equivalent pupils attending provision compared to the previous census.

7.15. Changes to the EY National Funding Formula and DfE requirements of Local Authorities are in the 'Early Years budget and hourly rates for 2026/27' paper that was reported to Schools Forum in January 2026 and includes a consultation with providers. In February Schools Forum will be updated on consultation feedback and the recommended EY budget and the hourly rates to be paid to providers for 2026/27.

Central Schools Services Block

7.16. The Central Schools Services Block funds the cost of statutory functions undertaken on behalf of all schools by the council including admissions, copyright licenses, strategic management functions, attendance and exclusions. The Council will receive an allocation of £2.0m for 2026/27 compared to £1.9m for 2025/26, a 5.3% increase due to the baseline of the National Insurance Contributions (NICs) grant and the Schools Budget Support grant (SBSG) allocations for centrally employed staff. The budget set to fund services was reported to the Schools Forum in January 2026.

8. Housing Revenue Account

8.1. The Council is the landlord for 13,500 council homes, including around 900 sheltered homes for older people. The Council is also the freeholder for more than 3,000 leasehold properties. Together, these represent roughly one in seven of the borough's total housing stock and are home to almost one in four of the borough's population.

8.2. The Local Government and Housing Act 1989 requires the council to maintain a ring-fenced budget for its housing stock related income and expenditure, known as the Housing Revenue Account (HRA).

HRA Business Plan

8.3. The Council's strategy for spending and borrowing in relation to maintaining its housing stock, operating services for tenants and leaseholders, and the design and build of new council homes is set out in the 30-Year HRA Business Plan. It is a statutory requirement for this to be updated annually, and the refreshed Plan is also included on the February 2026 Cabinet agenda. It must demonstrate that the spending plans needed to meet the Council's objectives

are affordable and that the HRA remains financially viable over the short-, medium- and long-term.

8.4. To achieve this, the 2026 update to the HRA Business Plan was prepared with a view to delivering three key objectives:

- **Build resilience** into the annual revenue budget (in the form of a flexible contingency)
- **Create additional borrowing capacity** to support the capital investment ambition over the medium term
- **Increase the HRA General Reserve** to 15% of rent turnover (considered best practice across the sector)

8.5. The HRA revenue budget captures income from dwelling rents and service charges, all expenditure required to manage and maintain stock, the cost of financing capital investment, and provisions needed to maintain sufficient financial resilience for the HRA over the long-term (incl. reserve contributions). The key movements between the proposed budget for 2025/26 and the Council's approved budget for 2024/25 are shown in Table 11 below.

Table 11 - Summary of HRA Budget 2026/27

	2025/26 Budget (£000s)	**Mvmt (£000s)**	**2026/27 Proposed Budget (£000s)**
Expenditure			
Repairs and Maintenance	23,685	1,190	24,875
Supervision and Management	22,348	337	22,685
Special Services	24,383	427	25,309
Rents, Rates, Taxes and Other Charges	3,386	129	3,514
Provision for Bad and Doubtful Debts	657	25	682
Depreciation	16,516	568	17,084
Total Expenditure	**90,975**	**2,675**	**93,650**
Income			
Dwelling Rents	(91,642)	(4,482)	(96,124)
Non-dwelling Rents	(2,219)	(41)	(2,261)
Charges for Services and Facilities*	(19,188)	3,842	(15,346)
Contributions Towards Expenditure*	(2,885)	(5,178)	(8,063)
Total Income	**(112,403)**	**(5,859)**	**(121,793)**
Net Service Expenditure	**(24,959)**	**(3,185)**	**(28,144)**
Interest Payable and Similar Charges	23,204	249	23,453
Revenue Contribution to Fund Capital	-	2,991	2,991
Surplus on HRA Services	**(1,755)**	**55**	**(1,700)**
Contribution to HRA Reserve	1,755	(55)	1,700
Net Total	**0**	**0**	**0**

8.6. The proposed budget for 2026/27 articulates how the HRA Business Plan seeks to achieve the first and third objectives outlined above. Firstly, the inclusion of a flexible contingency in the form of a £3m contribution to fund capital (that can be diverted to manage cost pressures if required) builds additional resilience into the revenue budget. Secondly, the on-going inclusion of a £1.7m budgeted contribution to the HRA General Reserve supports a five-year plan to return this to a level that is considered good practice (i.e. equivalent to 15% of rent turnover). The business plan includes the following profile for achieving this objective over that timeframe:

Table 12 - HRA General Reserve Projection

	Opening Reserve Balance	Planned Top-Up	Closing Reserve Balance	Target Level (15% of rent turnover)	Gap
2025/26	4,900	1,700	6,600	13,746	7,146
2026/27	6,600	1,700	8,300	14,423	5,923
2027/28	8,300	2,000	10,300	14,790	4,290
2028/29	10,300	2,000	12,300	15,245	2,745
2029/30	12,300	2,200	14,500	15,712	1,112
2030/31	14,500	2,200	16,700	16,608	(92)

8.7. The proposed budget for 2026/27 includes £1.5m of savings, as part of a wider £3m savings programme to be delivered over the next two financial years (see Appendix C). These savings will help the HRA to create enough borrowing headroom to support an additional £166m of capital investment over the next 15 years. However, this is also contingent on the Council applying the maximum rent convergence thresholds announced by government in late January 2026. This allows social landlords to add a weekly uplift (£1 in 2027/28, £2 in 2028/29) to the standard annual rent increase for properties that are below the maximum formula rent, or "target rent". This delivers greater fairness and ensures that tenants in similar properties will be paying the same rent. The combined impact of the savings programme and rent convergence are critical to delivering the second objective in section 9.4 and will provide the investment capacity needed to deliver more new social homes.

HRA Financial Risks

8.8. The main risks to the delivery of the 2026/27 HRA revenue budget are:

- interest rates being higher than projected and increasing the cost of borrowing
- inflation running higher than the allowances included within the budget
- demand for repairs and/or the unit cost of repairs being higher than allowed for in the budget
- delays to the handover of ready to let new build units which will reduce rental income

- void levels being higher than allowed for in the budget, either in volume or complexity, which will reduce income and also increase costs related to bringing empty units back into use
- increased arrears as tenants continue to experience cost of living pressures which increase the level of debt that needs to be written off
- any failure to implement the government's rent convergence proposals (which is a risk to the overall borrowing headroom in the HRA and therefore its capital investment plans, rather than the 2026/27 revenue position)

8.9. Any combination of these risks that results in an adverse variance against the budget would need to be managed using the flexible contingency or via a reduced contribution to reserves. Given that HRA reserve levels are already low, relative to the scale of HRA expenditure, this would be a significant concern in the short-term while reserves are replenished in line with the strategy laid out above. While the reserve level remains low, the HRA remains highly exposed to direct financial shocks and/or adverse macroeconomic movements.

9. Capital Programme

9.1. In February 2025 Borough Council approved a revised four-year capital programme 2025/26 to 2028/29. The capital programme has been revised for re-phasing and additions approved by Cabinet and under delegated authority over the course of the 2025/26 financial year.

9.2. This report presents the proposed capital programme for 2026/27 to 2029/30, which is set out in Appendix E, including further detail on funding sources for the proposed programme.

<u>New Additions to Capital Programme</u>

9.3. The proposed capital programme includes additions to the currently approved capital programme for 2025/26 to 2028/29, to reflect updated strategies, continuing initiatives and the application of expected additional funding. These are set out as follows:

9.4. *Disabled Facilities Grants*
In November 2025, Cabinet approved a new home assistance policy that expands the range of adaptations provided by the council. It is anticipated that this will increase ongoing expenditure on Disabled Facilities Grants (DFGs) up to the level of the DFG capital Government grant, which was £3.7m in 2025/26.

9.5. *CIL Funded Projects – External Partners*
A report elsewhere on this Cabinet agenda includes the recommendation to allocate Community Infrastructure Levy (CIL) funding of £1.0m to three projects delivered by external partners. These are classed as capital grants and are recommended to be added to the General Fund capital programme.

9.6. *Capital Programme Unallocated*
As part of the savings development process and the updating of the council's Capital Strategy, a review of the profile of the Capital Pipeline has been undertaken. From this review, the previously agreed £69m of unallocated headroom in the programme is proposed to be re-profiled so that £59m is phased into 2027/28 and 2028/29, in anticipation of this matching the expected delivery prolife of the replacement for Brentford Fountain Leisure Centre.

9.7. The unallocated capital programme for 2029/30 also includes standard updates reflecting the addition of a further year to the capital programme to budgets where there are known recurring needs and associated funding streams. These are proposed to be held in the unallocated programme pending confirmation of business need closer to delivery, and include the following funding assumptions:

- School Condition Programme (£4.3m)
- Digital and IT Strategy (£1.1m)
- ICT Hardware Refresh Programme (£0.7m)
- Council Property Condition Programme (£1.0m)
- Disabled Facilities Grant (£3.7m)

9.8. *HRA Estate Investment Capital Programme*
The HRA capital programme reflects the reprofiled Estate Investment Programme that is included in the 2026 HRA Business Plan presented to Cabinet in February 2026. A separate inflation contingency on this programme included in the revised HRA Business Plan will be held outside the capital programme.

9.9. *HRA New Build Programme*
The HRA capital programme reflects the updated Council House Building Programme that is included in the HRA Business Plan presented to Cabinet in February 2026. This programme reflects the schemes that are currently being built out on site or have budgets previously allocated by Cabinet.

Capital Programme Financing

9.10. The proposed General Fund capital programme financing for 2026/27 to 2029/30 is shown at Appendix E. The borrowing requirements reflected within these programmes for 2026/27 have been reflected within the Treasury Management Strategy for 2026/27.

9.11. The council has not assumed any new capital receipts into its 2026/27 budget or financial planning, and capital grants are only included where these are known to be recurring grants. Capital receipt income will be revisited when the Asset Management Strategy is developed and agreed. Currently, capital receipts are only included as a source of financing once there is certainty over receipt of the funds.

Capital Strategy

9.12. The council is required to update the Capital Strategy in line with CIPFA's requirements under the Prudential Code, which is presented at Appendix F. This sets out in detail the Council's approach to identifying priorities for improvements in asset utilisation, associated capital investment requirements in line with business needs and available funding, and the council's governance, project management and risk processes for the management of capital expenditure and income.

9.13. The Capital Strategy largely continues the previous Capital Strategy approved for 2025/26 onwards in February 2025, with updates to reflect the review undertaken of the council's Minimum Revenue Provision (MRP) Policy, which is detailed in the Treasury Management Strategy 2026/27, and some shifting of the priorities within the Capital Pipeline to reflect the council's objectives around renewal of Brentford Fountain Leisure Centre, as approved by Cabinet in January 2026.

9.14. The updated Capital Strategy is now recommended for adoption within this budget report. A full review and refresh of the Capital Strategy will be undertaken alongside the setting of a new Financial Strategy by the new council Administration during 2026/27.

10. Lampton Group

10.1. The council owns six companies and one limited liability partnership, the Lampton Group of companies. Lampton Group provide a number of important and statutory services to residents for the Council including housing repairs and maintenance, operating leisure centres, maintaining parks and waste and recycling collection. These services are well regarded the users, Coalo customer satisfaction levels are 91.9% and Lampton Recycle 360 outperforming missed bin collection targets for the year to end of November and have been demonstrated to benchmark favourable.

Lampton Group Business Plan 2026 - 2029

10.2. The Lampton Group Business Plan 2026 - 2029 is also being considered by Shareholder Committee and then February 2026 Cabinet. The Business Plan focuses on five themes:

- Financially Sustainability
- An Efficient, Effective Organisation
- A Culture of Continuous Improvement
- Resident & Customer Focused
- Developing our People

10.3. The financial performance of the Group has improved in the current year as reported in the Financial Monitoring Update Quarter 3 2025/26 with a forecast a loss of £1.8m compared to a loss of £6m in 2024/25. The medium-term

financial strategy within the new Business Plan indicates that the Group will breakeven in 2026/27 and move into profit in 2027/29.

10.4. The underlying financing of the Group includes lending from the Council, which is expected to be repaid, with interest, over the long-term. Most of the Council's lending to the companies is secured against the 628 properties owned by Lampton Investment 360 Ltd. To support the activities outlined in the Lampton Group Business Plan 2026-29 which is also being considered at the Cabinet meeting on the 10 February 2026 the Council and Lampton Group have been considering if there is a need to make enabling amendments to the existing loan facility agreement. Further details are included in the Treasury Management Strategy 2026/27.

10.5. The Section 151 officer deems it appropriate for the losses to be held and retained in the company following the Shareholder Committee meeting in December. Actions taken to stabilise and offset the losses through a financial recovery plan and a sustainable growth strategy strengthen this position. With the Group expected to move into profit and therefore begin to recoup the accumulated losses in future years. The Council's corporate risk register includes this as a specific item, ensuring that the position will continue to be closely monitored and reported through the Shareholder Committee.

11. Treasury Management Strategy, Annual Investment Strategy, Statement on Minimum Revenue Provision and Prudential and Treasury Indicators

11.1. In order to produce a balanced budget, the council must calculate within the Council Tax Requirement the revenue costs that flow from capital financing decisions. This means that any increases in capital expenditure must be limited to a level where increases in charges to the revenue account are kept to a level that is affordable within the projected income of the council for the foreseeable future. Such charges to revenue arise from interest and debt principal repayable, caused by increased borrowing to finance additional capital expenditure, and from any increases in running costs from new capital projects.

11.2. The financing of the General Fund capital programme in paragraph 10.10 includes no new borrowing beyond that already included in the revised capital programme for 2025/26 to 2028/29 and indeed reduces borrowing due to the proposed replacement of borrowing with drawing on CIL funding. HRA borrowing in the revised HRA Business Plan is also reduced compared to the previously agreed HRA Business Plan The overall revenue budget for treasury management for 2026/27 has been set at £0.2m.

11.3. Appendix G contains the detailed Treasury Management Strategy 2026/27, Annual Investment Strategy, Statement on Minimum Revenue Provision and Prudential and Treasury Indicators. These strategies are based on the Executive Director of Finance and Resources' views on interest rates, as informed by leading market forecasts provided by the council's external treasury management adviser.

11.4. The strategies were reviewed by the Executive Director of Finance and Resources and have since been updated; most notably changes to the Minimum Revenue Provision (MRP) policy statement, to reflect updated regulations issued by the Government in April 2024.

11.5. The Lampton Group Business Plan for 2026/27 and beyond includes no new borrowing requirement to support new activity and this position is reflected in the Treasury Management Strategy for 2026/27. The Treasury Management Strategy for 2026/27 does include details of changes to the loan facility agreement with Lampton Investment 360 Ltd that are being considered to support the financial sustainability of that business.

12. Financial Governance and Control

12.1. Responsibility for the overall finance governance for the council falls to the Chief Financial Officer and Section 151 Officer for the council.

12.2. Individual managers are key to helping the council deliver the budget through a thorough understanding of the drivers of the council's expenditure and income and producing service plans aligning with corporate aims and objectives.

12.3. Managers across the council are responsible for projecting expenditure and income levels, for regular budget monitoring reports to senior management and to Cabinet. Service areas with material budget pressures that do not have an operating mitigation plan are required to produce, seek informal approval by the relevant Cabinet Member and implement mitigation plans to ensure services are delivered within budget. Cabinet Members meet with service directors to review and challenge service performance data.

12.4. Executive Directors have provided monthly projections of their expected net expenditure up to the end of the financial year, including the impact of actions being taken within directorates and by the Corporate Leadership Team as a whole, to ensure that directorates contain net expenditure within the approved budget. It is essential that such active steps continue to be taken to manage expenditure and remain within budget.

12.5. The Financial Regulations were last updated for approval by Borough Council in May 2021. The Financial Regulations include a schedule covering the delegation of all types of financial decisions to Cabinet, Cabinet Members and Executive Directors.

12.6. Members of the Council receive ongoing training and development to ensure they are effectively equipped to undertake their role in financial management of the council and understand the wider business environment of local government finance.

12.7. The Chartered Institute of Public Finance and Accountancy (CIPFA) Financial Management Code sets out the principles by which local authorities should be guided in managing their finances and the specific standards that they should, as a minimum, achieve. The principles are supported by standards which are deemed to provide the strength of foundation to:

- manage the short-, medium- and long-term finances of a local authority.
- manage financial resilience to meet unforeseen demands on services.
- manage unexpected shocks in financial circumstances.

12.8. The six key principles are:

- Organisational leadership – demonstrating a clear strategic direction based on a vision in which financial management is embedded into organisational culture.
- accountability – based on medium-term financial planning that drives the annual budget process supported by effective risk management, quality supporting data and whole life costs.
- financial management is undertaken with transparency at its core using consistent, meaningful and understandable data, reported frequently with evidence of periodic officer action and elected member decision-making.
- adherence to professional standards is promoted by the leadership team and is evidenced.
- sources of assurance are recognised as an effective tool mainstreamed into financial management, including political scrutiny and the results of external audit, internal audit and inspection.
- the long-term sustainability of local services is at the heart of all financial management processes and is evidenced by the prudent use of public resources.

12.9. It is the opinion of the Chief Financial Officer that the council is currently financially stable, has a framework in place to monitor and to ensure that it delivers value for money to its residents and businesses and in striving for financial excellence continues to identify areas for improvement.

13. Risk

13.1. The council has a risk management framework in place which provides a process for the identification, management and reporting on risks. The risk strategy, with the associated risk registers (corporate and departmental), play an important part in the corporate governance structure of the authority. The council's corporate risk register includes risks around delivery of the approved budget. This risk is continuously monitored with changes and related actions reported accordingly.

13.2. In addition, the council holds unallocated General Fund balances for general financial risks outside of the budget proposals, which is reviewed on an annual basis, as well as risk focused earmarked reserves, as set out in Appendix H.

Risks	Uncontrolled Risk	Controls	Controlled Risk
Net expenditure exceeds council resources.	Expenditure is incurred without reference to budgets.	Budget setting and budget monitoring and reporting for all areas of the council's business	Management action is enabled to align expenditure to budget plan, and inform future budget setting processes.

14. Financial Implications

15.1 This is a financial report, and the financial implications are outlined throughout the report

15. Legal Implications

15.1. The function of calculating the Council's budget requirement and the Council's element of the Council Tax, and the function of setting the Council Tax, are the responsibility of the Full Council.

15.2. Section 30(6) of the Local Government Finance Act 1992 provides that the council must set its budget before 11 March in the financial year preceding the one in respect of which the budget is set, although failure to set a budget within the deadline does not in itself invalidate that budget.

15.3. The Council is required by the Local Government Finance Act 1992 to make estimates of gross revenue expenditure and anticipated income, leading to a calculation of a budget requirement and the setting of an overall budget and Council Tax.

15.4. The amount of the budget requirement must be sufficient to meet the Council's legal and financial obligations, ensure the proper discharge of its statutory duties, and lead to a balanced budget.

15.5. The Council should be satisfied that the proposals put forward are a reasonably prudent use of resources in both the short and long term, and that the interests of both Council Taxpayers and ratepayers on the one hand and the users of Council services on the other are both taken into account.

15.6. Section 25 of the Local Government Act 2003 imposes a duty on the Council's Section 151 Officer to report to the Council on the robustness of the estimates made for the purposes of the calculations and the adequacy of the proposed reserves. Their report is set out in Appendix I and the Council has a statutory duty under the 2003 Act to have regard to the report when taking its decision.

15.7. Section 106 of the Local Government Finance Act 1992, applies to Members where:

- They are present at a meeting of the Council, the Cabinet or a Committee and at the time of the meeting an amount of Council Tax is payable by them and has remained unpaid for at least two months; and,
- Any budget or Council Tax calculation, or recommendation or decision which might affect the making of any such calculation, is the subject of consideration at the meeting.

15.8. In these circumstances, any such Members shall at the meeting and as soon as practicable after its commencement disclose the fact that Section 106 applies to them and shall not vote on any question concerning the matter. Failure to comply with these requirements constitutes a criminal offence, unless any such members can prove they did not know that Section 106 applied to them at the time of the meeting or that the matter in question was the subject of consideration at the meeting.

15.9. The Council is required under section 151 of the Local Government Act 1972 to make arrangements for the proper administration of its financial affairs. The budget planning represented in this report is consistent with this legal duty.

15.10. This decision to set the Council Tax is reserved to Full Council and cannot be taken by the Cabinet or delegated to officers (Regulation 4 of the Local Authority (Functions and Responsibilities) (England) Regulations 2000/2853). However, the Cabinet has responsibility for development of proposals for the budget (including the capital and revenue budgets, the fixing of the council tax base, and the level of council tax) and the financial strategy for the council. Following this Cabinet meeting, the budget proposals will be reported to Full Council at the next budget setting meeting.

15.11. Therefore, in order for the Recommendations in this report to be effective, a positive decision of a meeting of Full Council is required in accordance with the budget framework.

15.12. When considering the budget proposals, Cabinet and Full Council will be mindful of their fiduciary duty to ensure that the Council's resources are used in a prudent and proportionate manner.

15.13. Members are required to have regard to their statutory duties whilst bearing in mind the requirement to act reasonably when taking in to account the interests of the Council Taxpayers.

15.14. In respect of charging for any discretionary services as referred to in Recommendation 5 and Appendix D, Section 93 of the Local Government Act 2003 Act allows the Council to set charges on a cost recovery basis.

15.15. Part VI of the Local Government and Housing Act 1989 requires the Council to account separately for local authority housing finances (the Housing Revenue Account) and to set a balanced HRA budget.

15.16. The Dedicated Schools Grant referred to at Recommendation 7 will be made in accordance with section 14 of the Education Act 2014.

15.17. Any staffing impacts resulting from the budget as referred to in this report and Appendix C will be managed in accordance with the Councils HR policies and procedures. The Council must in progressing these proposals be mindful of the Public Sector Equality Duty as referred to in paragraph 16.

15.18. As with other decisions taken by Members, the general principles of administrative law must be adhered to: Lawful discretions must not be abused or fettered, and all relevant considerations must be taken into account. No irrelevant considerations may be taken into account, and any decision made must not be such that no reasonable authority, properly directing itself, could have reached it.

15.19. Members will note the equalities implications set out in section 16 of the report. There are areas covered in the report where persons with a protected characteristic may be indirectly affected by changes to the budget for the purposes of the Equality Act 2010. In circumstances where changes in the budgetary position result in a change to the delivery of a service, the effect on persons should be considered immediately prior to the making of a change to the service. This will be undertaken by way of individual equality impact assessments in order for the respective decision makers to assess the likelihood of any consequential impacts as part of their determination of those decisions.

16. Communities, Equalities and Health Implications

16.1. Decision makers in this case Cabinet should have due regard to the public sector equality duty in making their decisions. The equalities duties are continuing duties they are not duties to secure a particular outcome. Where appropriate the equalities impact will be revisited on each of the projects or savings proposals as they are developed. Consideration of the duties should precede the decision to implement them.

16.2. The statutory grounds of the public sector equality duty are found at Section 149 of the Equality Act 2010 and are as follows: A public authority must, in the exercise of its functions, have due regard to the need to:

(a) eliminate discrimination, harassment, victimisation and any other conduct that is prohibited by or under this Act.
(b) advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it.
(c) Foster good relations between persons who share a relevant protected characteristic and persons who do not share it.

16.3. Having due regard to the need to advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it involves having due regard, in particular, to the need to:

(a) remove or minimise disadvantages suffered by persons who share a relevant protected characteristic that are connected to that characteristic.
(b) take steps to meet the needs of persons who share a relevant protected characteristic that are different from the needs of persons who do not share it.
(c) Encourage persons who share a relevant protected characteristic to participate in public life or in any other activity in which participation by such persons is disproportionately low.

16.4. The steps involved in meeting the needs of disabled persons that are different from the needs of persons who are not disabled include, in particular, steps to take account of disabled persons' disabilities.

16.5. Having due regard to the need to foster good relations between persons who share a relevant protected characteristic and persons who do not share it involves having due regard, in particular, to the need to:

(a) Tackle prejudice, and
(b) Promote understanding.

16.6. Compliance with the duties in this section may involve treating some persons more favourably than others; but that is not to be taken as permitting conduct that would otherwise be prohibited by or under this Act.

16.7. The relevant protected characteristics are:

- Age
- Disability
- Gender reassignment
- Pregnancy and maternity
- Race
- Religion or belief
- Sex
- Sexual orientation
- Marriage and Civil partnership

16.8. The council has to give due regard to its equality's duties, in particular with respect to general duties arising pursuant to Section 149 of the Equality Act 2010. When making any decisions about growth, savings and investment the council must have due regard to the need to advance equality, in particular, to the need to remove or minimise disadvantages suffered by persons who share a relevant equality characteristic that are connected to that characteristic.

16.9. The council's equalities duties have been considered and are not deemed to be affected by the recommendations within this report. Individual projects, savings and fee increases mentioned within this report will where appropriate

be subject to individual equality impact assessments which will be considered by the decision makers prior to approval of those projects.

17. Climate Emergency Considerations

London Borough of Hounslow Climate Budget Statement: 2026/27

18.1 *Introduction*

In 2024/25, the Council produced the council's first climate budget which was incorporated in the budget setting report approved by Cabinet in February 2024. The Council has opted to include a Climate Budget statement in the 2026/27 budget report with a detailed Climate Budget to be included in following years.

18.2 *The Climate Budget*

The Climate Budget supports the delivery of the Council's target to reduce carbon emissions to Net Zero by 2030 from operational activities as set out in the Corporate Plan and Climate Emergency Action Plan.

18.3 In future years this will identify the activities / projects that will deliver the target set out in the Climate Emergency Action Plan; the funding required and the source(s) and status of that funding; and the carbon saving that will be delivered. However, for 2026/27 this detail is under development. This statement therefore replicates the position as set out in The Climate Emergency Action Plan fourth annual update approved by Cabinet in January 2025.

18.4 The most significant risk to delivery of the council's target to decarbonise council operations to achieve net zero by 2030 is funding. The budget required to achieve net zero by 2030 is in excess of £100m and that this will not be possible via grant funding alone and therefore it will be essential to develop business cases for council investment which meet return on investment criteria. Additionally, grants are increasingly requiring a higher proportion of match-funding which needs to be affordable and meet investment rules for the beneficiary (which is not always the council).

18.5 The report agreed by Cabinet in January 2025 therefore outlined the key action that over the coming year a Net Zero Investment Plan will be developed to ensure that the pathway to net zero is credible and there can be confidence in delivery. This will assess and include a range of funding sources and will be overseen by a new officer Climate Investment Board which is part of the governance for the council's net zero delivery.

18.6 The Net Zero Investment Plan will form the Climate Budget from 2026/27 and into future years.

18. Other Implications

19.1 **Staffing / Workforce and Accommodation Implications**: Across the next two financial years there are eleven savings items that have staffing implications. Any organisational change will be delivered in accordance with the Council's policies on these matters (Transformation through Engagement) and in line with our statutory obligations. For the financial year 2026/27 a total of 38 posts (37.5 FTE) will be affected by change. The Council has spending controls in place and we are holding vacancies that may present redeployment opportunities for any staff affected. Where possible, vacant posts will be used to deliver the targeted efficiencies. The Council will make every effort possible to avoid compulsory redundancies, including re-deployment of affected individuals via the Jobs Match service.

19.2 **Property and Assets**: There are no significant implications brought forward in this report that have not previously been approved by Members.

19. Value For Money Assessment

19.1. The budget being recommended by this report sets out the level of income and expenditure that the Council's services will require for the forthcoming financial year. Individual spending decisions will need to ensure that value for money implications are considered and assessed before final agreement and commitment.

20. Implementation Plan

20.1. If approved by Cabinet this report is due to be considered by Borough Council when setting the budget and Council Tax on 3 March 2026. Council Tax billing for 2026/27 will commence in March 2026. The budget will take effect from 1 April 2026, the start of the 2026/27 financial year.

21. Comments of the Chief Financial Officer

22.1 This is a financial report written by the Chief Financial Officer. Their comments are dealt with throughout the report, mostly notably in the Section 25 report.

22. Comments of the Monitoring Officer

22.1. Cabinet has authority to approve the Recommendations at paragraph 1 of this report under part 3b of the Council's Constitution in development of proposals for the budget (including the capital and revenue budgets, the fixing of the council tax base, and the level of council tax) and the financial strategy for the Council.

23. Consultation and Engagement

23.1. Schools Forum were consulted on 19 January 2026 with the proposals for the local schools funding formula for 2026/27.

23.2. The Overview and Scrutiny Committee considered the budget position and savings proposals in this report at the meeting held on 26 January 2026.

24. Appendices

24.1. The report has the following appendices:

Appendix A:	Council Tax Resolution
Appendix B	Budget Summary
Appendix C:	Savings Proposals – General Fund and HRA
Appendix D	Fees and Charges Schedule
Appendix E:	Capital Programme
Appendix F:	Capital Strategy
Appendix G:	Treasury Management Strategy 2026/27, Annual Investment Strategy, Statement on Minimum Revenue Provision and Prudential and Treasury Indicators
Appendix H:	Balances and Reserves
Appendix I:	Section 151 Officer's Section 25 Report

25. Background Information

25.1. One Hounslow Financial Strategy Update Reports to Cabinet July 2025.

REPORT ENDS